The AI boom is reshaping growth, productivity, trade, jobs and markets. Investment still has room to run in 2027, but financing is getting riskier and expectations are sky-high. We ask how long it can last, who stands to gain and what happens if the promised returns fail to arrive

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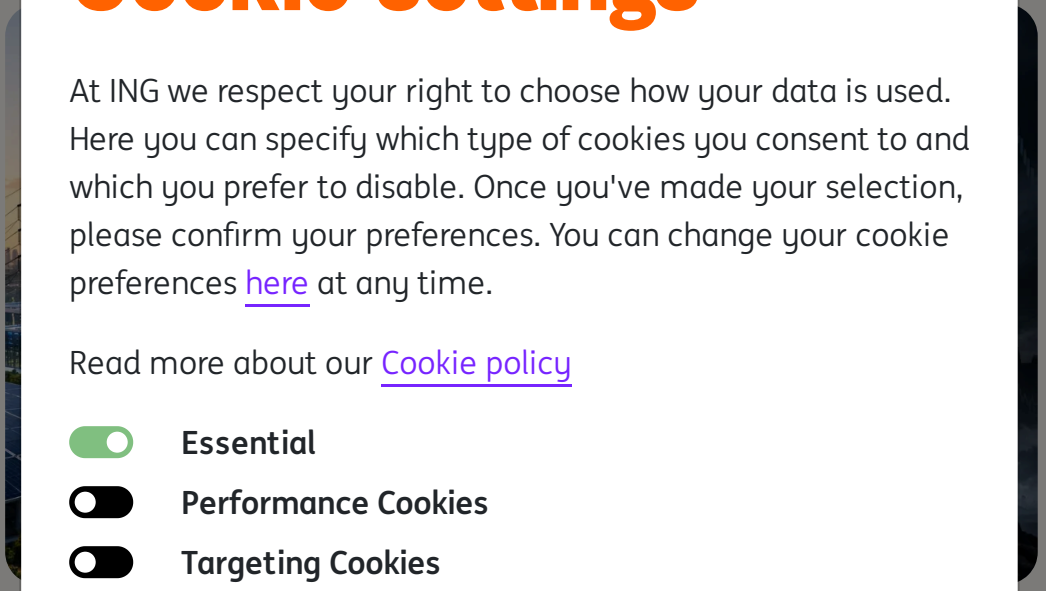

- **The AI boom still has room to run.** Investment is likely to continue rising in 2027, supported by strong demand and constrained supply. But its contribution to US growth is probably close to its peak as the sheer scale of investment makes further acceleration harder.
- **The boom is entering a new phase.** The story is expanding beyond chips and data centres into power generation, grids and cooling. At the same time, financing is shifting gradually from hyperscalers' enormous cash flows towards debt, private credit and

more complex structures, increasing the risks if expected returns fail to materialise.

- **The economic effects are becoming broader and more complicated.** AI is supporting US growth and global technology supply chains, but may also be diverting investment from other parts of the economy. It is adding to inflationary pressures today through demand for energy, equipment and skilled labour, while the hoped-for productivity and disinflation benefits are likely to take longer to emerge.
- **The winners will not necessarily be those building the**

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Railroads, electrification, dotcom fibre: how does today's AI boom compare with the great investment manias of the past?

Bigger than the dotcom boom, more important for growth and, so far, more safely financed.

Investment in US data centre structures, computers and software reached 5.6% of GDP in the second quarter of 2026, up from 3.8% in 2022, or 5.2% once imported hardware is netted out. That already

puts the current boom above the dotcom peak in 2000, when business investment in computers, communications equipment and software reached about 4.5% of GDP, although still below Britain's railway mania of the 1840s, when railway investment alone reached roughly 6-7% of GDP.

So while this is not the biggest investment boom in history, it is already bigger than the last great technology boom. And it is having a much bigger economic impact: IT investment accounted for 16-18% of US GDP growth in 1998-2000; AI-related investment now accounts for 37%.

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software, accounting, online retail and advertising.

The common thread is that transformative technology does not necessarily mean good returns for those who finance the transformation. The Nasdaq lost almost 80% between 2000 and 2002, yet the fibre laid during the boom went on to underpin the streaming economy. Investors build the road; others get to drive on it.

How much more will be invested in AI in 2027, and is the boom still accelerating?

Still accelerating in dollars, but probably peaking in its contribution to growth.

Momentum remains strong. Taiwan's leading semiconductor companies report order books that are full on a rolling 18-month basis, with any new capacity snapped up as soon as it comes online. Industry forecasts point to tight supply-demand conditions until 2028. Barring a wave of order cancellations or defaults, that points to another year of heavy AI investment in 2027, with hyperscaler capex expected to exceed US$1 trillion, increasingly geared towards AI infrastructure.

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guidance that stops being revised up, and a widening gap between investment and AI revenues.

For now, the bigger risk is not that the money runs out in 2027, but that it keeps flowing so fast that the questions about returns grow much louder in 2028.

Chips and data centres are only the first layer. How big is the second wave of

investment in grids, power generation and cooling?

Bigger, slower and longer-lived than the first wave – and potentially more important for the macro outlook.

As a rule of thumb, US$1bn buys roughly 25MW of fully equipped AI compute capacity. Not all of the c.US$1 trillion of hyperscaler capex expected in 2027 will go to AI compute; some will fund conventional cloud infrastructure. But even if only half does, that implies more than 12GW of additional power demand – roughly the output of a dozen large nuclear reactors, needed around the clock.

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construction and engineering firms, so the benefits travel further.

There is a catch. Somebody has to pay for the grid, and in regulated markets that somebody is often the household electricity customer. Rising power bills are already turning data centres into a political issue in parts of the US, and they feed straight into the inflation debate.

Chips are the sprint. Power is the marathon – and the marathon may end up mattering more.

Is this an American party, or does Europe get an invitation? Who supplies the picks and shovels?

So far it is very much an American party – but Europe supplies the catering, and may turn out to be the smarter guest.

The investment gap is stark. US imports of computer equipment and semiconductors, a rough proxy for AI investment, have risen by about 258% since 2019, compared with 38% in the UK. Europe's own build-out is held back by high energy prices, scarce grid capacity – think of the data centre moratoria in Dublin and A
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FDI into semiconductors, electronics manufacturing, and supporting supply chains as firms expand capacity and diversify production networks.

More importantly, the broad economic gains from AI come from using it, not building it – and here Europe is surprisingly good. Uptake is strong, and European SMEs use AI almost as intensively as large corporates, because the upfront investment is low. Nor does AI look like a winner-takes-all technology: switching costs are low and network effects limited. If model providers end up competing on price, the spoils go to the users – and Europe does

not need to build nearly as many data centres to compete. Late to the construction site, Europe could still be early to move in.

There is a silver lining, too. Europe is far less exposed if the boom turns to bust. Its AI capex is smaller and the wealth channel much weaker: equities make up 13% of UK households' financial assets, versus 44% in the US. Missing the party also means skipping the hangover.

Which sectors stand to win most, and which risk being left behind?

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But don't write off every exposed sector. The Jevons paradox – cheaper supply raising demand – could favour some of them. Legal services is a good example: if AI makes contract review or legal advice much cheaper, demand may rise faster than the cost per task falls. Growth may also come from unexpected places. In healthcare, AI-driven drug discovery and diagnostics could open up new treatments, creating demand rather than merely cutting costs.

Ultimately, productivity gains depend more on the tasks employees perform than on the sector they sit in. Workers handling

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large amounts of data, text or graphics are likely to see the largest gains. The chart below, from our 2023 work, shows how the potential benefits of generative AI across tasks relate to the degree of digitalisation across sectors: the more digital a sector already is, the faster AI can travel through it.

In short, the winners will be those that build AI or use it to work smarter. The losers will be those whose core activities can increasingly be automated.

Growth, prices and trade

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accounts for 37% of US real GDP growth. Substantial, but a long way from the 'AI is the only game in town' narrative.

The more uncomfortable finding lies outside tech. Rather than lifting the overall growth rate, the AI boom seems to have cannibalised growth elsewhere. Strip out AI, and the rest of US private non-residential investment had fallen year-on-year for six consecutive quarters by mid-2026. Before 2021, tech and non-tech investment moved broadly in step; since then, they have moved in opposite directions. One explanation: shareholders reward companies that embrace AI, so capital budgets are being redirected towards tech at the expense of everything else. So the boom isn't

so much about creating additional investment as redirecting investment from elsewhere in the economy.

What would US growth look like without AI? Not simply 37% lower. Part of the capital, engineers and electricity absorbed by AI would have found other uses. A world without the AI boom would most likely show weaker growth, but not by the full amount of AI's contribution – and with a more balanced investment mix.

For 2027, our plateau base case implies a smaller AI contribution to growth. That would give the non-tech economy room to breathe – but only if it is ready to take over.

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without an exceptional acceleration. While AI-related sectors are providing a significant boost to several Asian economies, this largely reflects rapid investment and higher capital utilisation rather than a sustained improvement in underlying productivity. However, in China, we've seen labour productivity growth pick up in the last two years, breaking what had been an extended downtrend as Chinese companies race to incorporate AI in workflows. In the eurozone, which lacks comparable AI investment, labour productivity growth remains lacklustre, with very few exceptions, like for example, in the Netherlands.

The technology holds real promise for broad-based productivity gains. But reaping them requires wider adoption and investment in infrastructure and skills, both within companies and across the economy. That suggests a J-curve: heavy upfront intangible investment – time spent learning new skills and reorganising workflows – could initially mute measured productivity before the investment pays off, possibly quite abruptly. Electrification is the classic precedent: the electric motor arrived in the 1880s, but factory productivity only took off in the 1920s, once factories had been rebuilt around it.

And even then, a shift of the workforce towards sectors where p… w… d… s…

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Inflationary today, disinflationary tomorrow – but don't hold your breath for the outright deflation Silicon Valley promises.

It depends on your time horizon. For now, the effect runs in the inflationary direction. AI's enormous energy demand is adding to the current energy shock, memory chip prices have surged, and the scramble for electricians, transformers and construction capacity is pushing up costs. Meanwhile, the investment boom is pouring fuel on the fire of a US economy already running with above-target inflation.

In the longer run, once the technology lifts productivity, it should lower unit labour costs and exert disinflationary pressure across the economy. Like most technological breakthroughs, AI will probably end up being disinflationary. But the effect will be concentrated in services and much smaller for goods with physical inputs. Algorithms can't make steel, copper or concrete cheaper.

There is also a less comfortable twist. AI allows companies to price dynamically, adjusting prices to what each customer is willing to pay and thereby capturing more of the consumer surplus. That could make some prices stickier rather than lower. Together with the physical constraints, this makes the outright deflation Sam A

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A rewarding the countries that own its choke points.

AI is increasingly sorting the global economy into winners and laggards. The IMF has raised its outlook for economies benefiting from the AI investment boom, particularly those embedded in the global technology supply chain, while countries outside it see much less of a boost. Taiwan is riding booming semiconductor demand, South Korea is benefiting from demand for high-bandwidth memory, and the effects travel upstream to the suppliers of advanced chipmaking equipment, including the Netherlands.

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This illustrates how AI is reshaping both trade and investment flows. Spending on data centres and computing capacity in the US drives demand for chips from Asia, which in turn requires investment in semiconductor capacity and equipment from Europe, Japan and the US. The result is an international AI investment chain, with growth increasingly flowing to the countries that hold its critical links. It also explains a good part of the surge in the US import bill: every data centre built in Texas shows up in Taiwan's export statistics.

Trade policy is the second force reshaping the chain. Export controls on advanced chips to China, tariffs and subsidy programmes such

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Evidence on AI's labour market impact remains fragmented, and the economy-wide effect is still limited. If history is any guide, fears of mass unemployment are overdone: with every major technology of past centuries, growth was strong enough to create jobs elsewhere, even as demand for some types of labour fell. But if adoption is so fast that labour demand and supply can't adjust in time, unemployment could rise temporarily.

The first cracks are showing at the entry level. In the US, job growth has remained positive but weaker in sectors with high AI exposure; evidence from the eurozone is mixed. The Dallas Fed finds that

employment among young workers in AI-exposed occupations has weakened, mainly reflecting lower hiring rather than more layoffs. According to the Stanford Digital Economy Lab, employment among 22-25-year-olds in highly exposed occupations was around 19% below where it would have been by June 2026 had it kept pace with less-exposed occupations. In China, we see similar pressures on entry-level work reflected in rising youth unemployment. The Chinese government has planned training and job replacement policies to help alleviate any negative effects of AI on employment. For developing Asia, particularly India and the Philippines where outsourcing sectors are highly exposed to AI, the

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Who pays?

Is the boom still funded from cash flows, or are hyperscalers increasingly turning to debt?

Still mostly from cash flows – but the cushion is thinning and the borrowing has begun.

The largest hyperscalers have so far paid for the AI build-out out of their own pockets, which is the biggest difference from the dotcom and railway booms. But capex is absorbing a rising share of operating cash flow, squeezing free cash flow and leaving less room for share buybacks. For companies that used to return cash to shareholders at a record pace, that is a notable shift in priorities.

Borrowing is stepping up. Several hyperscalers, such as Amazon, Alphabet, Meta, and Oracle have issued jumbo bond deals since 2025, with Oracle the most leveraged of the group. Equity markets are being tapped too: several big tech firms announced plans to raise equity in June. None of this is alarming on its own – these are

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books.

The direction of travel is clear. The boom started as a self-funded venture by the richest companies in the world. It is gradually turning into a credit story.

Leases, SPVs, private credit: how opaque has AI financing become?

More opaque than the hyperscalers' balance sheets suggest – but so far, the risk rests on some of the strongest borrowers in the world.

A growing part of AI financing is moving off balance sheet. Special purpose vehicles and joint ventures, such as Meta's Hyperion data centre financed with Blue Owl, long-term leases and GPU-backed loans allow companies to fund the build-out without the debt appearing directly on their own books. Securitisation of data centre assets through asset-backed securities and commercial mortgage-backed securities is growing as well, bringing a wider pool of investors into the game.

Leases are a particular blind spot. They are recognised as on-balance-sheet commitments only once contracts are final; until then, the extent of incremental lease liabilities is uncertain. There is a

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where risks are concentrated – and harder to judge how a shock would travel.

Looking ahead, capital may eventually become a major constraint on the AI build-out, alongside permitting and access to power. The more the industry relies on creative financing, the more it depends on investors' continued willingness to lend. Financial engineering can prolong a boom, but it can't make the returns appear.

How exposed are banks, and is private credit the shadow banking of this cycle?

Direct bank exposure looks modest; private credit is the obvious weak spot – but contagion would run through markets rather than bank failures.

Banks' direct exposure to AI looks limited. The hyperscalers fund themselves mainly through cash flow and bond markets rather than bank loans. Indirect exposure is harder to gauge: banks lend to private credit funds, data centre developers and construction firms.

Private credit is the obvious weak spot. Is it the shadow banking of this cycle? Partly. It has less of the maturity mismatch that made pre-2008 shadow banking so fragile: much of the capital is locked u
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the economy rather than through bank failures. That is less dramatic than 2008, but not harmless: a repricing of credit risk would raise funding costs far beyond tech, hitting the very non-tech investment that is already struggling.

Banks may well escape an AI bust largely unscathed. The economy they lend to may not.

Vendor financing déjà vu: should we worry when chipmakers fund their own customers?

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Worth watching, but this is not Lucent and Nortel all over again – mainly because the balance sheets are much stronger.

The dotcom precedent is uncomfortable. Lucent, Nortel and Cisco lent money to telecom start-ups so they could buy their equipment. When the customers went bust, the suppliers took the hit, and much of the reported demand turned out to have been financed by the sellers themselves.

Today, there are echoes. Chipmakers are taking stakes in AI labs and neoclouds that then buy their chips. The same handful of firms raise money, buy chips, lease compute and book revenue off one a
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travel quickly through its suppliers, landlords and investors, who are often the same companies. And they make it harder to judge how much genuine end-demand there is for AI – precisely the question on which the whole boom rests.

The test is simple: follow the money until it reaches a customer who isn't also an investor. The longer that trail gets, the more nervous we should become.

Higher Fed rates helped end the dotcom bubble. Could monetary policy or bond

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yields pop this one too?

Probably not as the trigger – but monetary policy could make any bust more painful, because the safety net is thinner than in 2001.

In 1999-2000, the Fed hiked rates to 6.5% before the dotcom bubble burst, then cut by almost five percentage points in 2001. This time, an energy shock is keeping inflation above target. Actual rate hikes and more rate hikes to come could bring both the Federal Reserve and European Central Bank closer to risky territory.

High policy rates do not necessarily stop AI investment first. If expected returns on AI remain very high, capital may keep flowing

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long-term yields would therefore hit hardest where the build-out depends most on external funding.

The bigger issue is the safety net. If the bubble bursts, central banks can't come to the rescue as aggressively as in 2001 while inflation is above target. Fiscal space is also far more limited than a quarter of a century ago.

But don't rule out a different kind of rescue. AI is not just an economic tool; it is also about power – geopolitical and technological. If things went south for the sector, some form of government support would be conceivable, from public

procurement to guarantees or targeted support for strategically important companies. The dotcom bust was left to the market. An AI bust might not be.

Monetary policy is unlikely to pop this bubble. But it could decide how hard the landing is – and Washington may decide who gets a parachute.

Bubble or not?

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uncertain long-term economics.

Then the revenue gap. Capex is running ahead of AI revenues, as it can take several years for investment to translate fully into revenues. Amazon, Microsoft and Alphabet have invested around US$600bn over 2023-25. As a rough rule of thumb, every dollar of AI infrastructure may need to generate 40-50 cents of annual revenue (assuming hyperscaler-like margins), implying US$240-300bn a year – although not all of this capex was AI-related. That looks large, but less so next to labour costs. At US$100,000 per employee, US$300bn is the cost of three million workers. AI doesn't

need to replace them: a 20% productivity gain across 15 million employees would deliver the same value. Consumers alone won't close the gap; the money has to come from enterprises.

Two caveats. Concentration: the weight of the largest tech stocks in the S&P 500 exceeds the dotcom peak, so any disappointment would hit the whole index hard. And circularity in financing and revenues makes true end-demand harder to measure.

Finally, a bubble in prices doesn't mean the technology is a dud. Railways had a bubble. So did the internet. Both still changed the world.

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a single day. Cheaper compute can raise demand – the Jevons paradox – but higher volumes can come with lower margins. That makes the profitability of AI labs such as OpenAI and Anthropic the big question mark. If it disappoints, the hardware will still be needed, but the build-out would likely slow. Nvidia's exceptionally high margins could also normalise if competition increases or the scarcity value of leading-edge compute declines.

Missing from most lists is financing: rising bond yields, a credit event at a leveraged neocloud or private credit fund, or an energy shock that keeps central banks hawkish.

Ultimately, we see the biggest risk in overcapacity. Continued innovation in chips, more efficient models and optimised algorithms could eventually create an imbalance between supply and demand, pushing down utilisation and returns. For now, though, the industry is still struggling to scale compute and secure enough power, while new business models and applications keep emerging.

There is one more way to read today's capacity commitments: as strategic entry deterrence. Announcing gigantic investment plans discourages competitors from entering the market – and some of those plans may never be fully executed if returns disappoint. That w… a s…

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A… household wealth. At 2.6 cents per dollar, that means a drop in consumer spending of around $640bn, or 2.9% of nominal consumer spending (an annualised $22.3tn in August). With wealth even more concentrated than in 2020, the multiplier is probably weaker; at 2.2 cents, the hit would be around 2.4%. That is a level effect, typically playing out over one to two years – but a big number nonetheless.

History offers some comfort: during the dotcom bust, US consumer spending barely flinched. But it could be worse this time. First, wealthy households are currently the only ones holding up

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spending; the bottom 60%, who spend roughly as many dollars as the top 20%, are squeezed by tariffs and higher fuel prices. Second, the Fed has less room to cut than in 2001. Third, the credit cushion is thinner: rising delinquencies on car loans and credit cards show stress building at lower incomes.

The good news: this is not 2008. US household debt stands at around 70% of GDP, the same as in 2001 and well below the 100% reached in 2007.

In the end, the wealth effect is the smaller channel. After the dotcom bust, business investment fell by 11% in two years. IT e
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The rates channel points in the same direction. Negative wealth effects, weaker consumption and slower US growth would eventually push the Fed towards rate cuts, narrowing interest rate differentials against the dollar. The timing would depend on inflation: with prices still running above target, the Fed may cut later than markets hope, which could limit the dollar's fall in the early stages.

Among the winners, the yen and the Swiss franc would play their traditional safe-haven role. The euro could benefit relatively, given Europe's lower exposure to both AI capex and equity wealth (4Q). A

tech crash made in America would, for once, be a reason to hold European assets rather than flee them.

The losers would be the currencies of Asian tech exporters, notably the Taiwan dollar and the Korean won, whose economies are leveraged bets on AI demand. They would come under heavy pressure, although intervention by local authorities and the legacy of huge trade surpluses would cushion the blow somewhat.

The bottom line: in an AI bust, the dollar may lose its reputation as the place to hide. Not because the world has found a better safe haven, but because this time the fire would start in the safe house.

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employment – to rebound. A bust would be a very different animal: an abrupt choking off of tech investment, similar to 2001, combined with a negative wealth effect on consumers through falling stock markets. And this time, central banks would have less room for rate cuts as inflation remains their main concern.

Which signposts should readers watch? For the boom itself, the key indicators are hyperscaler capex guidance, Taiwanese order books and lead times, and AI revenues relative to capex. Markets will focus on realised AI revenues at the large technology firms, margins on incremental revenue and how the next phase of the build-out will

be funded; figures that disappoint relative to company budgets and analysts' forecasts could trigger a sell-off.

On financing, credit spreads on AI-related debt, private credit flows and redemptions, and bond yields and term premia will show whether investors remain willing to fund the build-out. In the real economy, the questions are whether non-tech investment finally recovers, how hiring in AI-exposed sectors develops, and what productivity, grid connection and power data are telling us.

The question for 2027 isn't whether AI will change the world. It's whether anyone gets paid for it in time. If earnings fail to match s

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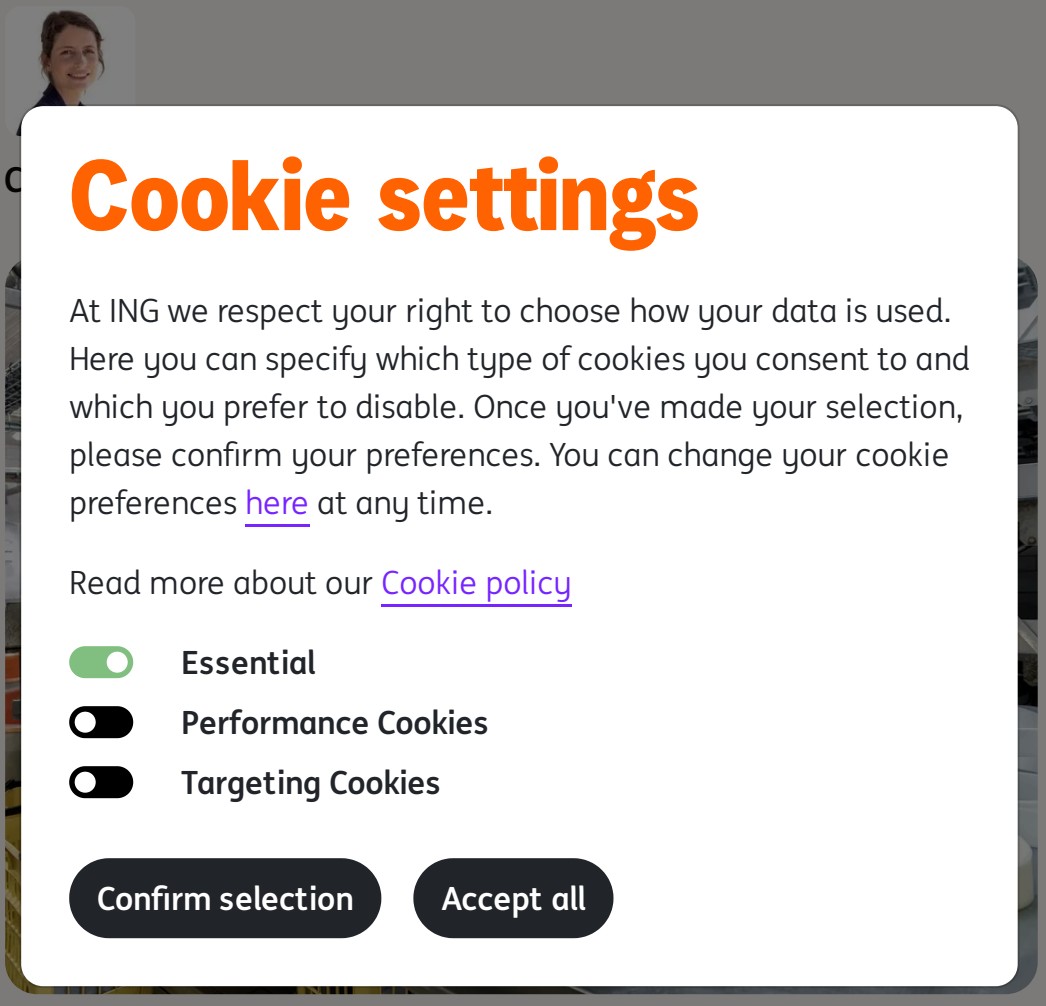
French manufacturing output rose for a second consecutive month in September, led by a sharp rebound in car production. But with output still below last year's level and construction firmly in recession, industry can only soften, not reverse, the economy's stagnation



French manufacturing output rose for a second consecutive month in September

Manufacturing output returns to its June level

There is finally some better news from the French economy. Manufacturing output increased by 0.5% in September, following a 0.3% rise in August, bringing production back to its June level. The improvement was relatively broad-based. Food production rebounded by 1.0%, while output of electrical, electronic and

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computer equipment rose by 2.6%, reaching its highest level since November 2023. Transport equipment production also increased by 2.7%, largely thanks to a 7.5% rebound in the automotive sector.

However, September's figures look more like a welcome recovery from previous weakness than the start of a sustained industrial upturn. Manufacturing output was still 0.9% below its level a year earlier. Transport equipment remained one of the main areas of weakness, with production down 3.8% year-on-year. Despite September's strong monthly increase, automotive production was still 9.3% lower than a year ago.

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under pressure in the coming months.

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Industry should outperform the rest of the economy

October's business surveys were relatively encouraging for industry, particularly compared with the deterioration in other sectors. Combined with a favourable statistical carry-over from the third quarter, this suggests that manufacturing could support activity in the final months of the year.

Still, the surveys predate the social unrest of 17 October, while order books remain weak, especially for exports, and tighter financing conditions are weighing on investment and inventories. Industry should therefore outperform services and construction in the fourth quarter, but not by enough to generate a broader recovery. After GDP contracted by 0.1% in the third quarter, growth is likely to remain close to zero.

Domestic demand is unlikely to provide much support

The outlook outside industry is weak. The rebound in household c
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Weak growth leaves even less room for fiscal manoeuvre

The budget process has since reached a new impasse. After 11 days of debate, the National Assembly unanimously rejected the revenue side of the 2027 budget on Wednesday evening, by 458 votes. The amendments adopted during the debate would have widened the deficit to an estimated 5.9% of GDP, well above the government's 5% target.

The government's initial draft will now go to the right-leaning Senate, which is expected to rewrite the budget by shifting more of

the adjustment from tax increases to spending cuts while seeking to preserve the 5% deficit target. An agreement between the two chambers remains highly unlikely, paving the way for the bill to return to the National Assembly, where the government could resort to Article 49.3. Alternatively, if parliament has not decided within the 70-day constitutional deadline, the government could implement the budget by ordinance.

This political deadlock comes on top of an increasingly difficult fiscal outlook. Under our forecasts, even the government's initial budget would leave the deficit at around 5.5% of GDP in 2027, above its 5% target. Yet the latest demonstrations are increasing p
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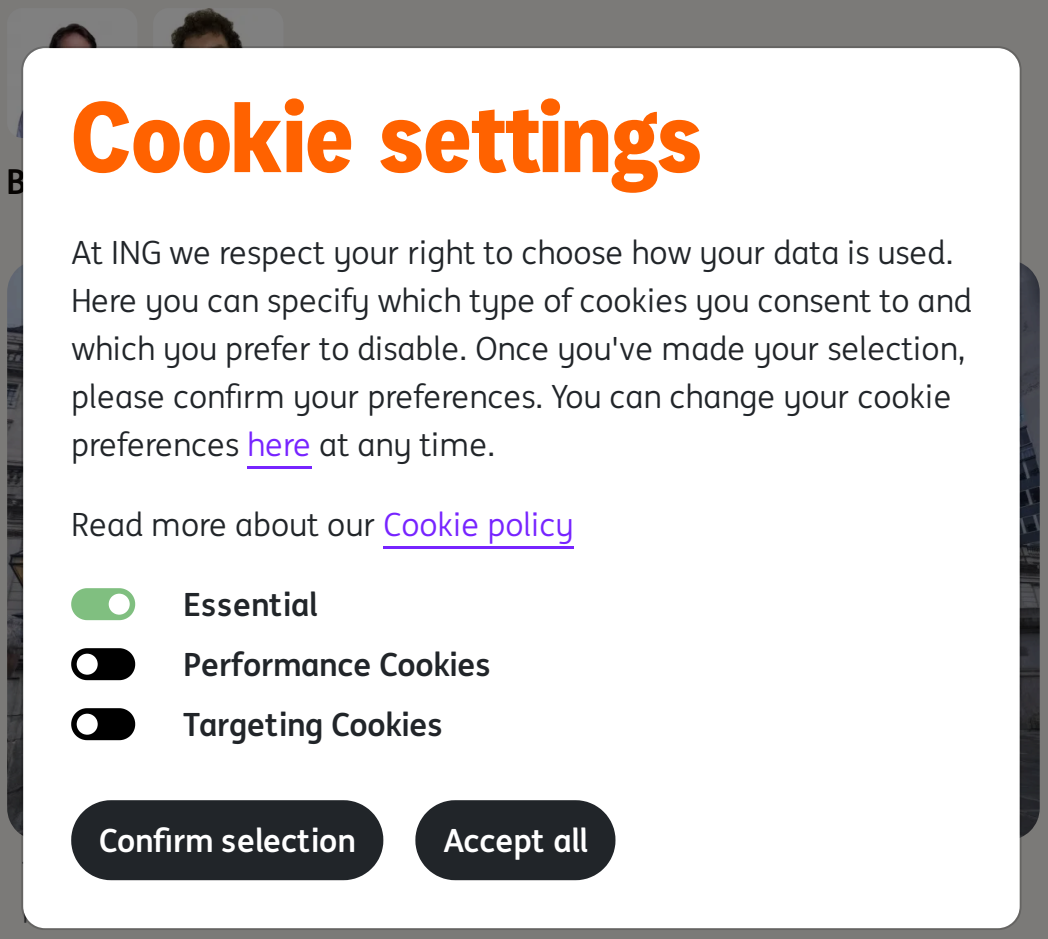
A win for the Democrats helped Brent oil ease below $100, benefiting European government bonds. But we cannot ignore a 4% eurozone inflation reading, showing higher energy costs are already passing through the economy. The same story applies to the UK, where the Bank of England will likely hike rates. But with 24bp already priced in, this won't be a surprise



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Euro rates like oil sliding below $100, but doesn't change 4% inflation reading

Market sentiment remains positive after Democrats won back both houses of Congress. The feed-through into European government bonds works via a noticeable easing in energy prices, with Brent sliding well below the US$100/bbl mark.

It eases the pressure on the ECB as markets see a greater chance that meaningful second-round effects can be avoided. Front-end

inflation swaps have dropped noticeably over the past few sessions, and the money market curve now only expects a little more than 50bp of tightening by summer next year. There is still a contrast to printed inflation, where we saw headline inflation rise to 4% in October with yesterday's release. We believe tensions will continue to be a source of volatility until time and data give markets more certainty about where we land.

Meanwhile in bond markets, 10y Bund yields slid below 3.3%. The 10y OAT/Bund spread has eased below 150bp, tightening more than 10bp on the day. We had pencilled in some spread tightening towards the end of the year mainly on the expectation that a 2027 b
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meeting, as much will depend on inflation data. Markets have become less correlated with oil and we think each inflation release in the coming months will be anxiously watched for second-round effects. We think inflation dynamics should start improving by mid-2027, warranting the start of a big repricing lower for GBP rates.

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Thursday's events and market views

We start the day with French industrial production in September, for which consensus pencils in -0.3% YoY growth. Other interesting data includes eurozone PPIs for September,

which is expected to increase by 10.6% YoY on the back of higher oil prices. From the US, we have challenger job cuts and weekly jobless numbers.

Spain will auction around €6.75bn across 5y, 10y and 14y SPGBs and a 7y SPGBei. France will auction €12bn across 10y, 12y, 17y and 31y OATs.

Rates Daily

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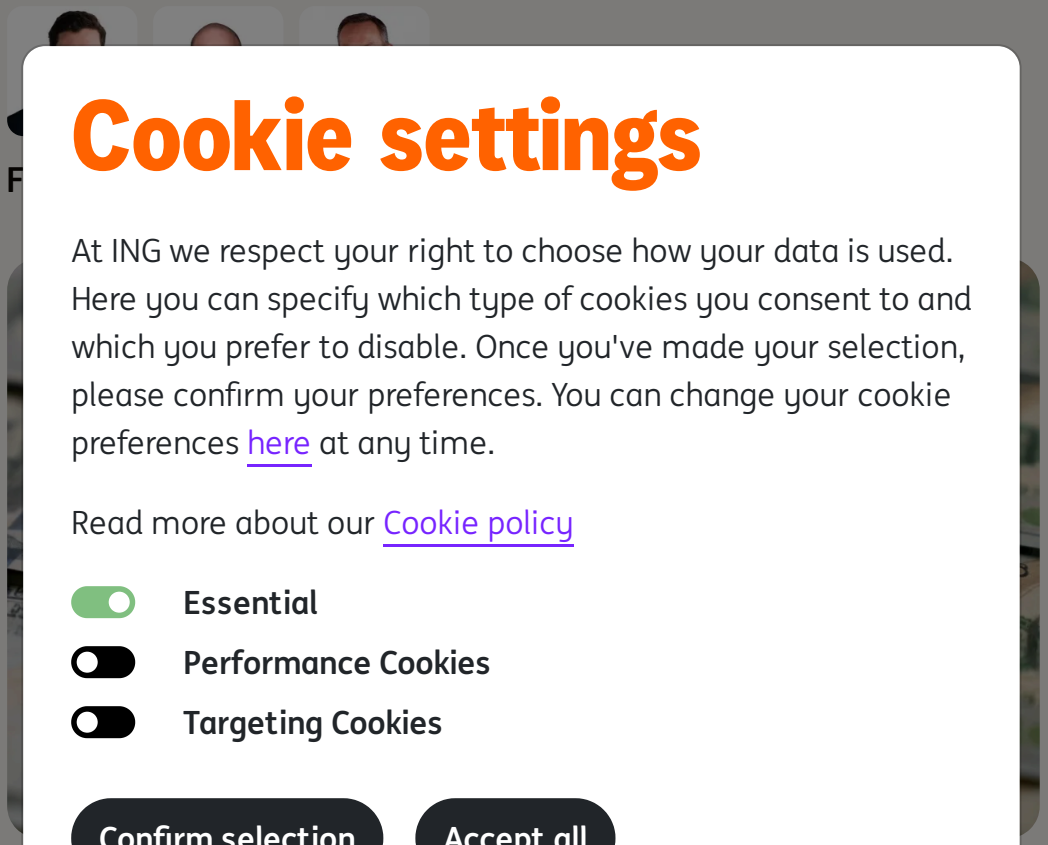
The post-midterm dollar correction requires a worsening of USD rate differentials to turn into a downturn. But as oil prices fall, other central banks are facing similar or even larger dovish repricing than the Fed. Data is key now, but indications are that they won't turn USD-negative soon. Today, expect a hike in the UK and rate holds in Norway and Mexico



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USD: Front-end rates should prevent a bigger decline

The Democratic sweep at the midterms delivered the negative dollar impact we had expected. But as we argued before the vote, we didn't see a case for a bigger USD downturn. In our view, rates need to start moving against the dollar to justify a greater adjustment, unless idiosyncratic US asset underperformance fuels the move. But fears that a Democratic sweep would hit tech stocks didn't materialise. Instead, a potential relief that the midterm risk

event is out of the way, alongside plummeting oil prices, is fuelling an equity rally.

The key hurdle for a bigger USD downturn is that lower oil prices are not unequivocally USD-negative. Let's look at yesterday's moves in rates. As crude dropped 8%, two-year USD swap rates fell 5bp, broadly in line with CAD, AUD and SEK swaps. EUR, GBP and NZD 2yr swap rates, however, fell more, by around 8-10bp. To us, that is the most compelling argument against chasing the dollar much lower. Poorer US data and/or a more dovish Fed remain the necessary conditions for front-end USD rates to fall more than peers, and by extension for a broader USD downturn.

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peso has been the worst-performing EM currency over the last two months after Banxico said it would not be following the Fed with a rate hike in September. In fact, some are looking for Banxico to heap more fuel on the peso's fire with a rate cut today. Such a move could see USD/MXN push to 19. Either way, Banxico has slashed the peso's rate protection to ultra-low levels, and the peso remains very vulnerable to global shocks.

Chris Turner

EUR: Knot pitches his hawkish agenda

Klaas Knot delivered a few remarks yesterday after the Netherlands officially backed his candidacy for the ECB presidency. He was firmly hawkish, claiming second-round inflation effects will probably pick up, and that the ECB will need to respond with higher rates to small shocks that will lift inflation. We'll wait to hear from Pablo Hernández de Cos, who is the other frontrunner for the job, and a long-standing dove. An appointment of Knot would be a EUR-positive event given his hawkish views, in our view.

Meanwhile, eurozone inflation accelerated from 3.8% to 4.0% as expected in October. That brings the ECB closer to a December hike, as argued here by our macro team, even if core inflation remained a

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V % (full preview here), in line with market expectations and consensus. A roughly 25% rise in household energy bills in January now looks increasingly likely, and we expect headline inflation to peak just above 4% early next year. That has often been indicated as the pain threshold for the BoE. Still, evidence of second-round inflationary effects remains limited.

We expect a 7-2 vote for a hike, and don't see the BoE committing to further tightening at this stage. A follow-up move in February remains our base case, but policymakers should keep the emphasis firmly on incoming evidence of energy pass-through into

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wages and prices. An explicit signal that further hikes are likely would therefore constitute a hawkish surprise.

We think today's hike can validate the pound's recent gains, for now. However, a February hike is fully priced in, and the bar for a hawkish surprise lifting the pound seems fairly high. We don't see immediate rebound potential for EUR/GBP, which is still dampened by the French effect, but GBP/USD is facing a less supportive short-term rate differential, as the GBP curve shows greater dovish flexibility when oil prices drop. We currently expect stabilisation around 0.840 in EUR/GBP, while Cable may see its upside capped at 1.350 in the near term.

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March.

The krone is facing some headwinds due to the big drop in oil prices. However, it's protected by much less hawkish pricing than other central banks, therefore facing less dovish pressure on energy price corrections. Yesterday, the NOK two-year swap rate dropped only 2bp. While this oil move can take EUR/NOK back to 10.50, a return to $80-85/bll may be needed for a return to the late September 10.90 levels. We see the pair ending the year in the 10.55-10.65 area.

In Sweden, following yesterday's 25bp rate hike, inflation figures for October came in well below consensus. CPIF slowed more than expected to 1.1%, with the core measure excluding energy plummeting to 0.1% YoY from 0.5%. These were preliminary figures, and expectations are anyway of a pickup to above 2.0% in both CPIF and the ex-energy measure in 2027, in our view, justifying another hike in February. That likely explains the contained SEK reaction to the print. Still, these figures support our view of a consolidation around 11.00 in EUR/SEK as opposed to another big leg lower.

Francesco Pesole

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NBP's first rate hike until the first quarter of 2027.

In the Czech Republic, we expect the CNB to hike rates by 25bp to 4.00%, the second such increase since the onset of the US-Iran conflict. The CNB remains the most hawkish central bank in the CEE region, and its new forecast is expected to reinforce this stance. The updated projections will likely point to higher inflation, interest rates, and wages, alongside a hawkish external environment, while the GDP growth forecast will likely be revised downward. The CNB has scaled back its forward guidance. We do not expect firm commitments regarding future policy steps today, but rather an

indication that the door remains open for further hikes if necessary. Given the rally in interest rates over the past few days, the threshold for a "hawkish" surprise is lower. The market is currently pricing in roughly 80bp of tightening, down from a peak of 125bp. That said, the CNB has generally delivered less hawkishness this year than the market anticipated, often resulting in a weaker currency and lower interest rates following its meetings.

The global narrative following the US midterms remains robust, and a sharp drop in oil prices could easily overshadow today's meetings of the NBP and the CNB. This sense of relief is supporting CEE currencies and pushing rates lower. A dovish tone from the NBP s
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purchase or sell any financial instrument.

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Energy markets are under significant pressure following the Democrats' clean sweep in the US midterms as hopes grow that the political shift could accelerate efforts to bring the war with Iran to an end

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following US election

Oil markets sold off aggressively yesterday, with ICE Brent settling 8.7% lower on the day and below $95/bbl. Selling pressure has only continued in early morning trading today. The outcome of the US midterm elections, with the Democrats winning both the House and Senate has increased hopes that we could see a quicker end to the war in Iran. Given the Democrats' control Congress, there will likely be more scrutiny over the war, while funding it could become more difficult. The outcome of the elections means there could be more pushback from the Republican Party, too. Yet the new senators and

members of the House start in January, leaving room for President Trump to escalate if he wants. Trump has suggested there are no imminent plans to strike Iran.

How all this plays out is still highly uncertain. Therefore, the degree and speed to which the oil market has sold off seems to be overdone. One would think Trump might want to come away with some accomplishments from this war. Does he go about that through renewed strikes or striking a deal? Or by continuing to put pressure on Iran with the ongoing maritime blockade? In the lead up to the midterms, all signals pointed towards Trump resuming strikes. This is less clear now.

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by 3.57m barrels. This took total distillate stocks below 100m barrels for the first time since 2003. Gasoline inventories also edged lower by 222k barrels.

European gas prices also sold off yesterday amid hopes the US midterms outcome could lead to a quicker recovery in LNG flows. TTF fell by more than 3.8% and pressure has continued this morning, leaving it trading around the EUR85/MWh level. However, fundamentally, the European gas market remains tight. Storage has started drawing with the heating season now underway. EU storage stands at 74% full. Where we come out the other side of

winter is largely dependent on how much of a recovery we see in Persian Gulf LNG flows this winter, if any. And, of course, given the tighter market, weather is going to be even more important than usual through the winter.

Metals – Gold surges back above $4,000/oz

Spot gold jumped more than 3% yesterday, climbing back above $4,000/oz following a Democratic sweep in the US mid-term elections. Expectations of legislative gridlock, lower Treasury yields and a weaker dollar are supporting the move.

Meanwhile, central bank buying continues to provide underlying

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Iran war | Gold | Geopolitics | EIA | Brent

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The opinion polls called it right with sweeping victories for the Democrats in the midterm elections. The key question is whether the president will look to secure deals or whether gridlock on the domestic front will force him to look outwards

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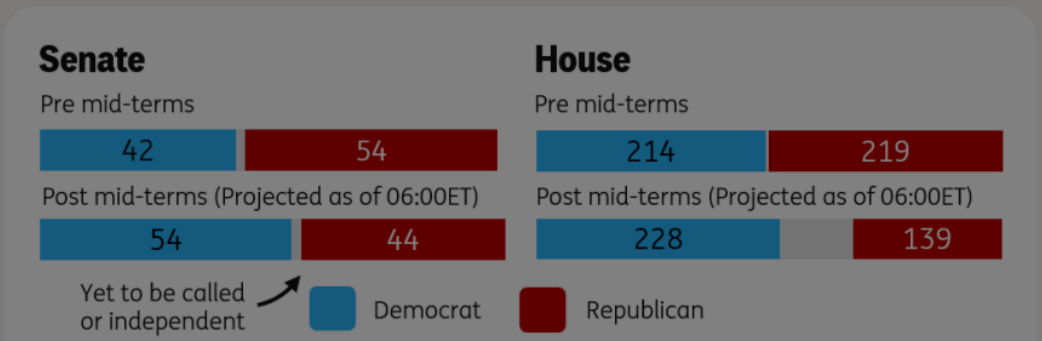
The results are in and it's a big Democratic victory

With most votes counted, it's clear the Democrats have secured a decisive victory in the US midterms, claiming majorities in both the Senate and House of Representatives. Though this outcome had become the consensus in recent weeks, the scale of the Democratic victory in the Senate in particular is noteworthy. Wins in Texas, but also in less expected states like South Carolina, Kansas and Iowa,

symbolise a major shift in American political opinion since the last election in 2024.

US midterm results (as of 06:00 ET)



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Source: New York Times, ING

Dealmaker-in-Chief or Mr Veto?

The Republican majorities in the House and Senate in the first half of Trump's presidential term allowed him to sign the One Big Beautiful Bill Act into law in July 2025. Other legislation included the Laken Riley Act, which tightened immigration and border policy, the GENIUS Act, which created a regulatory structure for stablecoins, the HALT Fentanyl Act on drugs and the TAKE IT DOWN Act on online regulation.

The obvious outcome from the result on Tuesday is that a Democrat-controlled Congress will stifle President Trump's domestic agenda in his final two years in power. A bill has to be approved by both the House and the Senate before being passed on to the president to sign or veto. With the Democrats having control of the legislative agenda in the House and Senate, the president has already warned that he will likely become "Mr Veto". The only way to overcome that would be for the Democrats to secure a two-thirds supermajority in both houses. That isn't the case after last night's results.

The consequence is that spending and tax proposals, as with most d
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October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The Federal Reserve risks "flying blind" again with no government economic statistics being collated or released.

What the Democrats can seek to achieve

Key sectors of corporate America will be nervous that Democratic control of important oversight committees could bring greater scrutiny. More congressional hearings involving AI and technology business leaders would be a likely outcome, while a strong performance at the ballot box may embolden local Democratic

leaders to try to stall unpopular data centre construction in their constituencies. Fossil fuel producers may face similar challenges.

Democrats will likely feel even more confident about pushing back against President Trump's policies on Iran, support of Israel and any escalation of tariffs. They may apply more pressure on the president to sound tougher towards Russia and to provide support to Ukraine, but the final call will remain with the president.

Investigations into President Trump, his family and members of his administration may also be stepped up as Democrats exercise their greater powers. Inquiries into finances and business dealings could re
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What will the president do?

A key question is whether a constrained President Trump, entering the final phase of his tenure, becomes more willing to accept political or market disruption in pursuit of his objectives.

If there is little sense of any compromise, the ensuing gridlock in Congress would leave the president to focus on areas where he can exercise executive power: 1) foreign policy and diplomacy, including trade policy, 2) national security and defence, 3) law enforcement and regulatory policy, 4) personnel appointments (subject to Senate approval), and 5) administration and management policy.

This suggests Iran, Russia/Ukraine and tariffs/trade policy are likely to be the focus for the president. Tariff policy could increasingly be used to incentivise foreign partners to align with US foreign policy objectives, for example by pressuring NATO members to increase defence spending.

More fundamentally, heavy defeats in the House and Senate will be interpreted as a referendum on President Trump's policies and potentially prompt figures within the Republican Party to take the view that it is time to open the debate on its future direction. With Trump's influence set to fade, leading lights within the party, most notably JD Vance and Marco Rubio, may attempt to shore up

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marginal, given the risk that tariffs also push inflation higher. Overall, we retain a bias towards the 10-year yield heading towards 5.25%.

The dollar is softer on the outcome, though it has recovered from its lows seen in early Asia when a sharp fall in Nasdaq futures was warning of a larger re-pricing of the tech story. Nasdaq futures have since retraced the majority of those losses. Limiting a larger dollar correction on this news is probably a still-resilient US economy and at least one more rate hike from the Federal Reserve. The dollar could see a little more weakness into 2027, however, if an

emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out. And the potential for a prolonged government shutdown in mid-2027 adds to the case for a weaker dollar next summer.

What it means for Europe and China

With the outcome of the vote limiting President Trump's options at home, he is likely to focus more heavily on foreign and trade policy. The result could be greater volatility and uncertainty for the global economy.

This will clearly affect Europe. A forced deal between Russia and U
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the president's patience and slow the pace of defence spending increases, particularly given their own fiscal constraints. Alternatively, and less likely, a stifled but less angry Trump administration could try to bring the wars in Iran and Ukraine to an end. Constrained by Congress and the Supreme Court on trade, it could ultimately, intentionally or otherwise, end up indirectly supporting the European economy.

China's main response will be to wait and see, as it will react to actual policy changes rather than the shifts within Congress. The

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main potential trigger points would be Taiwan arms sales, tariffs and other trade/investment restrictions.

Personal ties between the two leaders appear good, but with President Trump's policy focus being channelled towards foreign and trade policy, China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. As with Europe, if Trump appears weakened by the outcome of the midterms, China could sense that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

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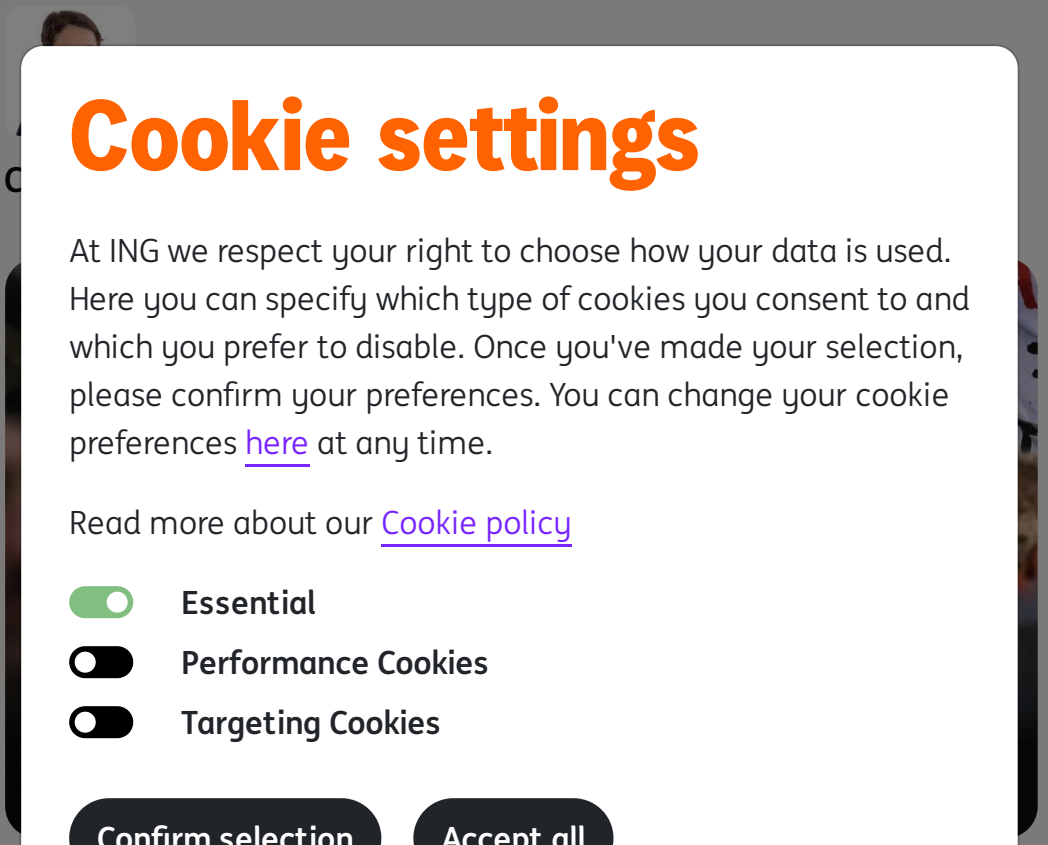
Thursday's nationwide mobilisation over wages and purchasing power will add pressure on a French government already struggling with weak growth, a fragile labour market and an increasingly unmanageable budget. Its options for responding to social discontent are narrowing as higher borrowing costs further weaken the outlook for public debt



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Pressure mounts for action on purchasing power

What began as a student-led protest has grown into a broader social movement, adding to the government's challenges as it struggles to get its 2027 budget through parliament.

The mobilisation continued during the school holidays, with between 320,000 and 500,000 people taking to the streets last Saturday, fewer than in previous weeks but hardly the pause the

government had hoped for. The next test will come on Thursday, 5 November, when all the main trade unions will mobilise over wages and purchasing power, with students and public sector workers expected to join the protests.

Under pressure, the government is considering raising the minimum wage by more than the automatic increase of around 1% due in January, possibly adding another 0.5 to 0.6 percentage points. This would be the first discretionary increase since 2012. But employers are strongly opposed, as they are already facing higher labour costs through planned cuts to social contribution exemptions. A further rise in the minimum wage could therefore e
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Budget talks are producing a larger deficit, not a solution

These pressures are making an already difficult budget equation even harder to solve. After 10 full days of debate and more than 2,300 amendments examined, France's 2027 budget discussions appear to be going nowhere, except towards a larger deficit than the government intended. While the government aims to reduce the deficit to 5% of GDP in 2027, after an expected 5.4% in 2026, the measures approved so far have pushed it substantially further off course. According to the Finance Ministry, the amendments adopted during the first reading have already worsened the

projected deficit by €23.9bn (total deficit in 2026 will be around €165bn).

The vote on the revenue part has been postponed again, as MPs continue to adopt measures pointing in all directions. Yet the exercise increasingly makes little sense: the fragmented National Assembly is unlikely to approve the budget, leaving the government with two possible escape routes. It could use Article 49.3 to pass the bill without a vote, but would first need to negotiate with parts of the opposition to ensure that a subsequent no-confidence motion fails. For now, there are few signs of such talks. If the motion passed, the government would fall and the b
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hovering close to recession.

The details of the third-quarter figure were also weak: investment fell by 0.6% and net trade subtracted 0.6 percentage points from growth as exports dropped sharply, while inventories provided a temporary offset. The only real positive surprise came from household consumption, which rose by 0.4%. But there is little reason to expect this momentum to last. Consumer confidence fell by five points to 80 in October, its lowest level since June 2013 and well below its long-term average of 100. Households' assessment of whether this is a good time to make major purchases dropped

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sharply, while fears of unemployment increased. Most strikingly, their assessment of living standards fell to its lowest level since the survey began in October 1972. This points to much weaker consumption in the coming months.

The outlook for investment is equally weak. Financing conditions are deteriorating particularly sharply in France: according to the latest ECB Bank Lending Survey, a net 27% of French banks tightened credit standards for businesses in the third quarter, compared with around 8% in Germany, no tightening in Spain and an easing in Italy. Together with weak demand, higher interest rates and uncertainty over taxes and public spending, this is likely t

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uncomfortable. The government had expected public debt to reach 121.7% of GDP in 2027, already a level at which a 5% deficit would be insufficient to stabilise the debt ratio. With growth now likely to be weaker and the deficit higher than assumed in the budget, debt will probably rise even further, and there is little prospect of stabilisation anytime soon.

The sharp rise in borrowing costs only makes the arithmetic worse. The French 10-year yield is currently around 4.9%, more than 155bp above its German equivalent, compared with a spread of around 70bp at the end of 2025. Admittedly, the increase in market

yields feeds only gradually into the effective cost of the debt as existing bonds mature: the implicit interest rate on French public debt is still around 2.2% in 2026. But this also means that a substantial part of the rise in interest costs has yet to come through. Fitch estimates that France would need to reduce its primary deficit from around 2.9% of GDP this year to just 0.4% to stabilise the debt ratio. The adjustment required would become considerably larger if the effective interest rate on the debt gradually converged towards current market yields.

And the 2027 presidential election is unlikely to provide an easy reset. A new president could again find her or himself without a

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simultaneously easing the pressure on the public finances, the government has very limited room to offer measures large enough to make a meaningful difference without making an already worrying fiscal trajectory even worse.

Strikes | Public finances | GDP | France | Eurozone | Deficit

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THINK Economic and Financial Analysis

Rates Outlook 2027

November 2026

The Good, the Bad and the Ugly

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The Good the Bad and the Ugly for Rates in 2027

The spaghetti-western title neatly captures the three big forces shaping long-end rates: the 'good' of AI-driven productivity, the 'bad' of elevated fiscal deficits, and the 'ugly' of renewed inflationary pressure from ongoing wars. By the middle of 2027, however, things should start to look a little less ugly as inflation falls

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The good, the bad and the ugly: AI, fiscal deficits and inflation take centre stage in the 2027 rates outlook

Key calls and themes and 2027

US rates and a triple whammy of obstacles to overcome

In the US, our baseline view centres on the good, the bad and the ugly causing trouble in the coming months, and right through the first quarter of 2027 at least, to prompt a return of the 10yr US Treasury yield to the 5.25%-plus area (vs 4.9% currently). We'd cap the absolute upside at 5.5%, as waiting later in 2027 is a 2%-plus handle for GDP growth and inflation, alongside a stable but not worsening debt dynamic narrative. The fall in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That allows long-dated yields to edge back down, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone, which is still above normal, but rightfully so. We don't call for it, but a decision to materially cut long-end Treasury funding would push in the same direction.

Euro rates have good reason to be nervous

For euro rates, we also expect a bumpy ride at the start of 2027, whereby markets anxiously weigh each inflation reading for signs of second-round effects. If all goes well, we should see a significant repricing of the European Central Bank path, helping the 2yr EUR swap rate down by some 50bp. The 10yr rate will be stickier, however, as a global rise in real rates adds upward pressure to longer euro rates. If inflation does not ease as hoped, then we could see a stretch higher in rates from here. In such a scenario, the 10yr swap rate could push well above 4%.

European bond spreads in a duel with the "bad"

Fiscal strains and election risk are putting eurozone bonds to the test. France is the key fault line, while Bunds' safe-haven appeal masks mounting supply pressures. We see a turbulent first half of 2027, and any relief hinges on a credible path to French fiscal consolidation

A delayed landing for GBP rates

Sterling rates are well above levels we consider fair value, but trauma from turning too dovish too quickly is still on investors' minds. Only once the Bank of England can prove its ability to bring inflation closer to target (by the end of 2027) do we pencil in a significant repricing lower for GBP rates. Relatively high sensitivity to US rates means we don't expect the path lower to be a smooth one. And with gilt markets increasingly reliant on risk-sensitive investors, we think a material term risk premium remains justified.

The grand Dutch pension reforms finale

Dutch pension reforms are reaching their finale as almost €900bn of assets are scheduled to transition in January 2027. The reforms should keep the 10s30s euro swap curve structurally steeper, but macro will continue to be the main driver of the curve for now. Under the new system, we expect more swap flows throughout the year as the need for interest rate hedges moves in tandem with asset prices (i.e. equities).

US rates and a triple whammy of obstacles to overcome

The good (AI), the bad (deficits) and the ugly (inflation) extend well beyond the US, with similar dynamics at play in France, Japan and the UK. While our focus here is the US, many of the same themes apply elsewhere. We think it will prove tough to shake off these impulses through the end of 2026 and into the first quarter of 2027

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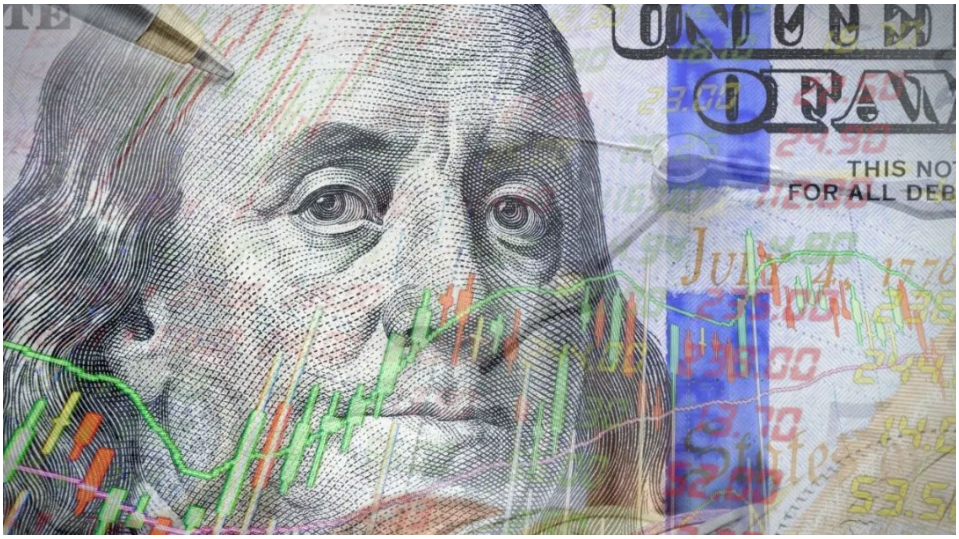
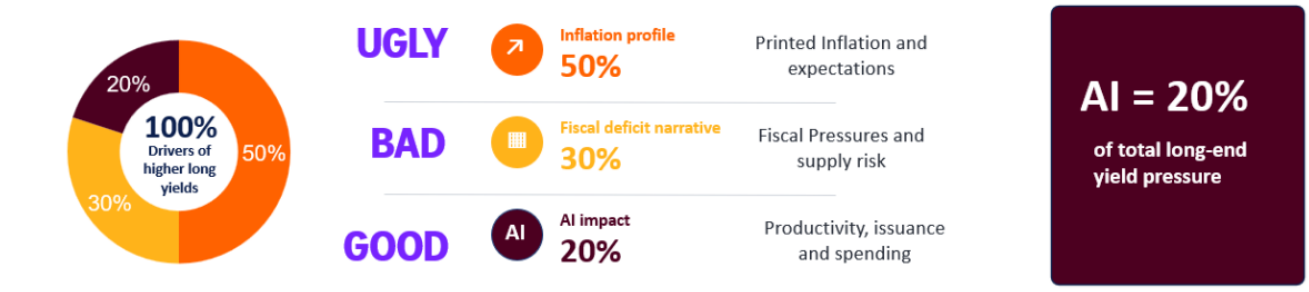


We see the US 10yr yield at about 5.25% in the first part of 2027 and possibly 5.50% before falling to 4.50-4.75% later in the year as inflation is expected to drop

We expect the 10yr Treasury yield to remain under upward pressure into the first quarter of 2027. AI-driven productivity growth, elevated fiscal deficits and sticky inflation are capable of pushing it back towards 5.25%, and potentially as high as 5.5%. A material constraining factor would be the US Treasury cutting long-end funding; see more on that scenario here.

Looking beyond the first quarter, we identify a key shift in inflation dynamics as a dominant factor. Specifically, the direction should reverse later in 2027 as inflation eases and the market starts to re-discount Federal Reserve rate cuts, ultimately taking the 10yr towards the 4.5-4.75% area. But we should not jump to that too early, especially with upward pressure on inflation still very much in focus as we head into 2027.

The drivers of long tenor rates



Source: Macrobond, ING estimates

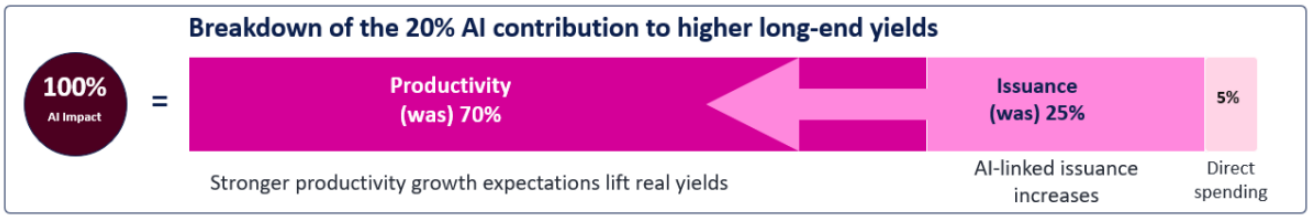
Let's break this out, starting with the 'good' (not all rate increases are for sinister reasons).

The good – AI-sparked productivity growth (and issuance)

We link the AI angle with productivity growth. We continue to view this as highly impactful for market rates, although not as much as the combination of inflation and the fiscal deficit. But we think productivity growth has been a significant driver of the previous elevation in real yields, and for 2027 it remains very impactful.

The nuance for 2027 is that we run the risk that AI-related issuance pressure begins to eclipse AI-driven productivity growth. We had significant issuance throughout 2026. It was novel at first, and mostly well absorbed. But as the stock of outstanding debt increases further, its crowding-out effect becomes more structurally impactful.

The AI impact is still about a fifth, but issuance impact is on the rise

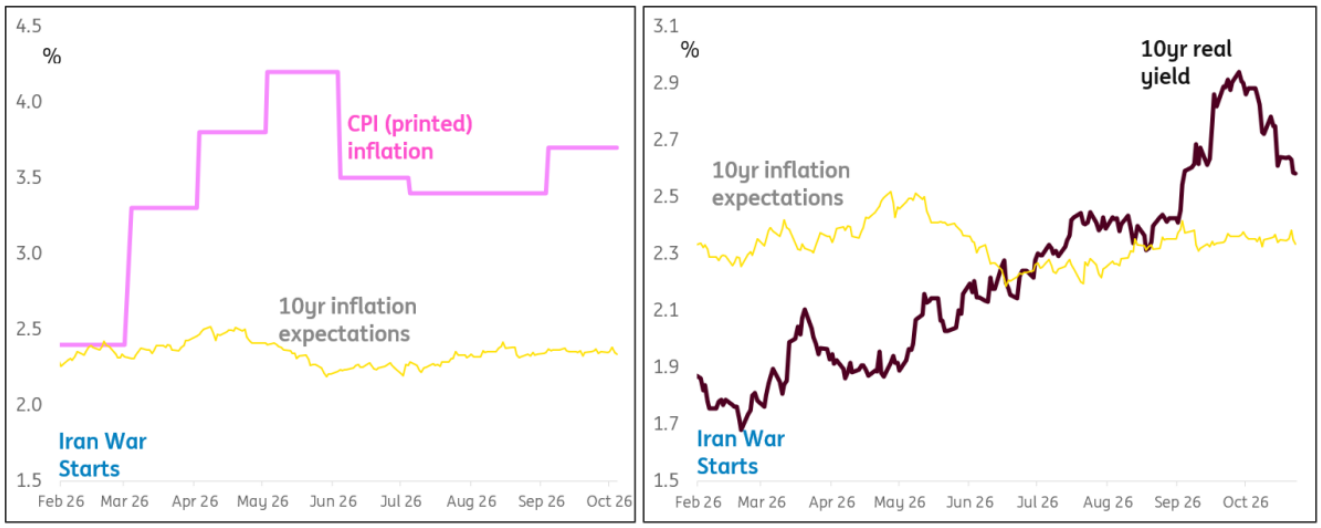


Source: Macrobond, ING estimates

The real yield is very important as a key driver of nominal yields. Inflation expectations, as measured by the 10yr Treasury yield minus the 10yr real yield on inflation-protected securities, do not typically engage in big directional swings. It's the real yield that does that. Productivity growth has always been a contributing factor. But of late, the AI revolution has added an impulse.

We're also of the opinion that higher printed inflation shows up partly in the real yield in the guise of an added term premium. On top of that, the fiscal deficit has a similar effect, through its influence on the supply of Treasuries. It also affects demand for Treasuries through the prism of investors' perception of the Treasury product and the price they are willing to pay for it.

Printed inflation vs 10yr inflation expectations and real yield



Source: Macrobond, ING estimates

There is a lot going on here, but the bottom line is that where the real yield goes, the nominal Treasury yield goes. And for 2027, a combination of productivity growth, deficit pressure and a stretch in the term premium continues to place upward pressure on the real yield.

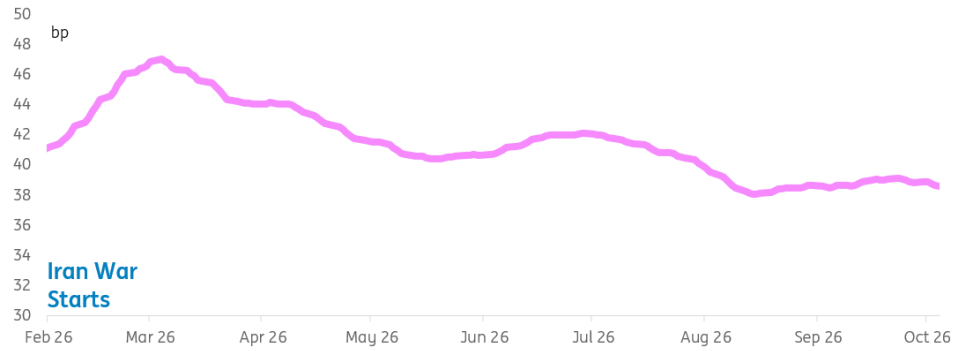
The bad – elevated fiscal deficit(s)

Fiscal deficits are not going to magically solve themselves in the coming months. So, the year ahead will remain a year of concern for debt dynamics. There is quite a degree of gradualism in play, which mutes reactions. But as we saw with Greece a decade and a half ago, the market can quickly jump to a state where debt dynamics suddenly become unpalatable, long before we actually hit a tipping point. Policy stasis is a real problem here, as it leaves a vacuum for bond markets to dip into whenever deemed appropriate.

For this reason, the tame evolution of US swap spreads is worth commenting on. In part, it reflects Treasury Secretary Bessent's increase in long-end buybacks, with the implied threat of more. Moreover, it's been bolstered by fast-money players taking advantage of an implied cap on swap spreads, through longs in Treasuries and payers in swaps. The upshot has been a further tightening in US swap spreads.

US 10yr Swap Spread

10yr Treasury yield minus 10yr SOFR rate



Source: Macrobond, ING estimates

Barring an aggressive Treasury decision to cancel some long-end auctions and/or add to buybacks, we'd prefer to fade this move. We think that swap spreads should come under re-widening pressure as a theme through 2027, or at least through the first quarter. We think the 10yr swap spread can revert to the 50bp-plus area for starters (now below 40bp). And the 30yr can move back up to 75bp, at least.

But again, as intimated above, a material reduction in long-end Treasury issuance would provide a pathway to tempering the direct negative effects associated with the fiscal deficit narrative. Our impression is there is no huge urgency to do so, especially given the relative tameness of swap spreads currently. But then again, this is at the whim of the Treasury Secretary in the end.

The ugly – inflation sparked the sell-off (but is also the most likely route for a reversal)

On inflation, we assert that the spark for the sell-off in bonds in February 2026 was the Iran war. The key element is elevated printed inflation. Later in the year, a key swing factor will be our expectation for inflation to fall back to acceptable levels. Once there, markets will sense that central bank rate hikes have concluded. The subsequent path of least resistance will see rate cuts discounted, on the theory that we have peaked and that the landing level is deemed to be above neutrality. This is big, as the current market has not yet discounted a material subsequent rate cut process. Re-pricing one automatically drags longer-dated swap rates lower, at the very least, as these are present valuations of the forward profile for floating rates.

hat all being said, herein also lies the biggest risk case for 2027 – that inflation does not ease enough to comfort central banks, or indeed bond markets. The current market discount appears to have this as an elevated risk factor. We glean this from the implied elevated discount for central bank rates. Longer-tenor market inflation expectations are,

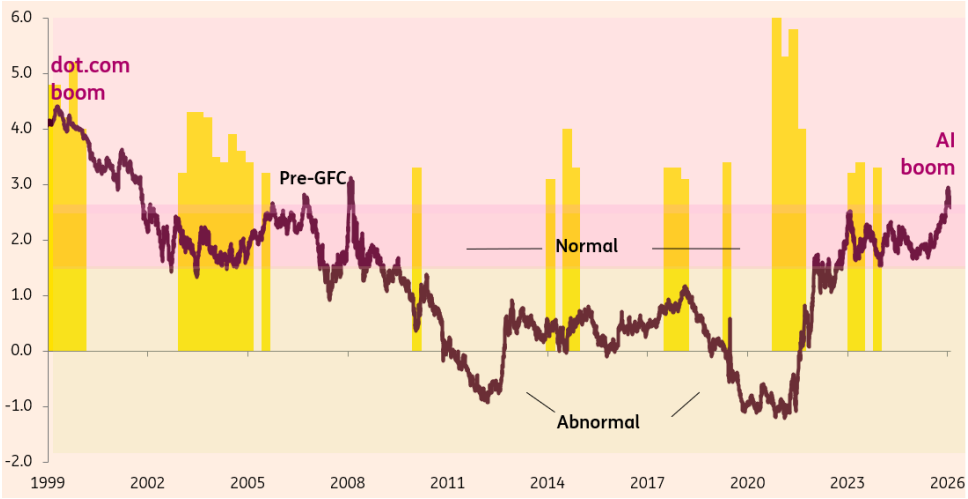
in fact, quite benign. But we suspect that these are not necessarily providing us with a solid steer on inflation risks for 2027 specifically. In this more bearish case, bond markets don't get to a state of relief. That is also why we don't want to play the bond-bullish game too early in 2027.

Are we going to 6% for the 10yr? Probably not, but here is how it could happen (easily)

While we've put the drivers neatly into different buckets, the reality is that they are all acting in unison. We bond nerds will, of course, go heavy on real rates being the dominant driver, which remains technically true to date. But the genesis of higher real rates is no big mystery. There has in large part been a move away from unusually low (to negative) post-pandemic levels to above-normal ones today. And we should be above normal, given that we have elevated inflation, elevated fiscal deficits (and the AI angle).

The US 10yr real yield through the cycles

Will the AI boom echo the dotcom boom with growth and a 4% real yield?



Source: Macrobond, ING estimates

Wondering what's normal for the 10yr nominal yield? See it here – we called this literally years ago.

The question is, should or could long-dated yields push higher from here? The answer is yes, they could. There are three routes.

1) **Route one is GDP growth heading to 3-4%,** akin to what we saw during the dotcom boom. That could coax the 10yr real yield from below 3% currently, up towards 4%. That would mean the 10yr Treasury yield heads to 6%.

2) **Route two is the fiscal deficit getting materially worse.** Remember, it's been in the 6-6.5% range for about three years. Not good, but not getting worse. But what if it shot to the 7-8% zone? We don't call for it. Get there, and again, we find a route to 6%.

3) **Route three is one we've alluded to already: inflation remains sticky in the 3% area and does not get lower**, much to the frustration of the Federal Reserve. Or it gets worse, because of a severe El Niño effect, for example. Again, there is a path to 6%.

We're not calling for any of these. But they are all entirely plausible with uncomfortably high probabilities. Instead, though, our central view is more driven by stability in growth and the deficit and an easing in inflation as we progress through 2027.

Our baseline view targets 5.25-5.5% (and then 4.5-4.75% later in the year)

Our baseline view centres on the good, the bad and the ugly causing enough trouble in the coming months, and right through the first quarter of 2027 at least, to prompt a return to the 5.25%-plus area (vs 4.9% currently). We'd be tempted to cap the upside at 5.5%, given that by 2027 the backdrop is likely to feature GDP growth and inflation both settling into a 2%-plus range, alongside a stable rather than deteriorating debt narrative.

The drop in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That in turn allows long-dated yields to edge lower, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone. This is still above normal, but rightly so.

The one big unknown is what the US Treasury might decide to make ad hoc changes. We assume nothing big. But a decision to materially reduce long-dated issuance sizes would be big, for example. Our baseline view is that such a measure is reserved for a period of market stress or systemic threat, where de facto yield curve control might be an option. Again, not what we expect.

Euro rates have good reason to be nervous

Easing inflation fears should bring euro rates down by mid-2027, but the path lower will be bumpy. We shift our attention from oil to inflation data and expect markets to react anxiously to upside surprises. Rising bond issuance outside the US government and AI could catch markets by surprise, but that is not our base case

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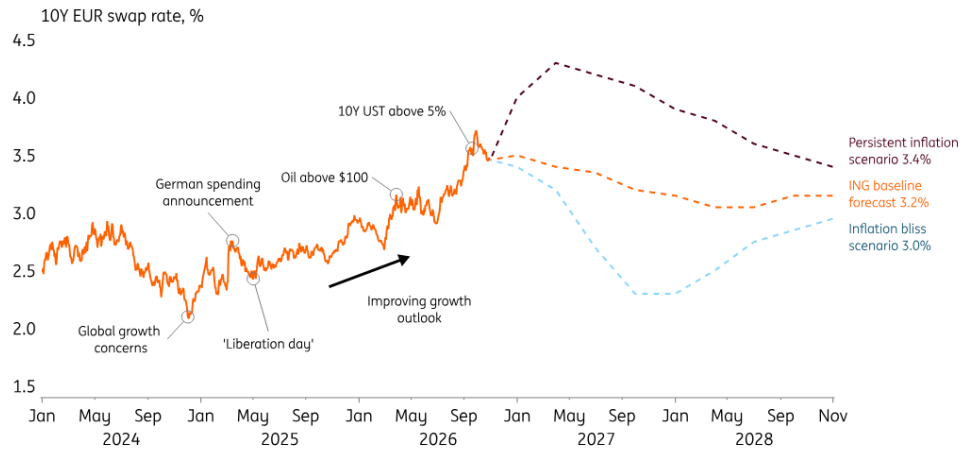
We see substantial near-term upside risk to euro rates but a more constructive year-end outlook

Last year's outlook was all about a stabilisation of euro rates, and boy, were we wrong. For 2027, we have no illusions of a calm ride. Our 2027 euro rates view combines substantial near-term upside risk with a more constructive year-end outlook.

Ugly second-round inflation fears could push the 10-year euro swap rate above 4%, while faster disinflation could take it towards 2%. Our baseline is that inflation pressures ease and the ECB terminal rate anchors near 2.5% by the end of 2027, although heavy global bond supply should keep long-dated rates relatively elevated.

Inflation is one of many uncertainties that can trigger different rate paths



Source: ING, Macrobond

For 2027, we shift our focus from oil to second-round inflation risks

Oil was the big story of 2026, but in 2027 we can no longer rely on the oil price to tell us where rates will go. Even if oil fell below $80/bbl, as assumed in our baseline, swap rates

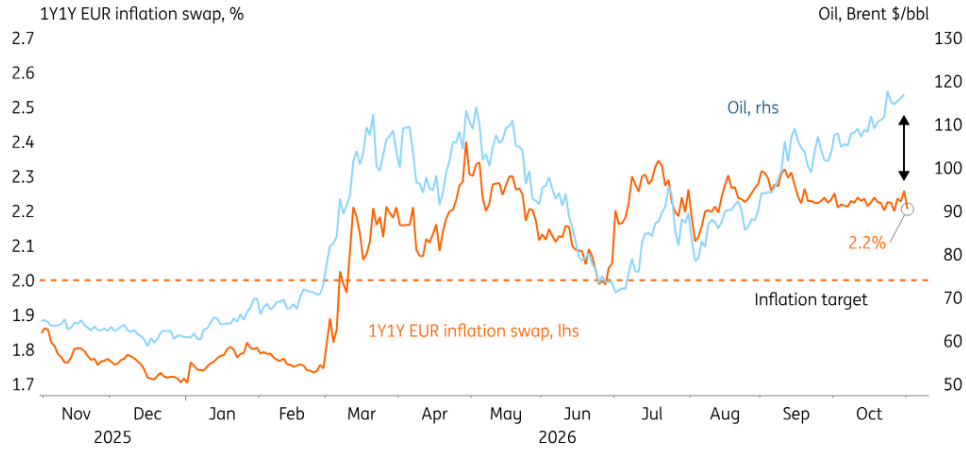
would not find much immediate relief. Instead, markets will watch each inflation reading anxiously for signs of second-round effects.

We take a relatively optimistic view in our baseline, but the upside risks to rates from inflation remain material. One bad reading could be enough to spook markets and risk a repeat of 2022-23, while it would take a series of benign inflation readings to convince markets of a more dovish tilt. We therefore see limited downside to rates in the first half of 2027. Only once there is sufficient evidence that second-round risks are limited do we turn more bullish on rates.

A tail risk for rates would be rising inflation combined with an inability of the ECB to stem the increase. Markets are pricing inflation in two years' time (the 1Y1Y forward) at just 2.2%, suggesting strong confidence in the ECB's ability to return inflation to target quickly. This is consistent with markets pricing in an aggressive further three ECB hikes. However, the effectiveness of monetary policy during supply shocks may be limited. Energy prices are still far from settled, and the global geopolitical landscape remains unstable.

Meanwhile, artificial intelligence investment is unlikely to respond to a few 25bp hikes when earnings growth is measured in double digits. A perceived weakening of monetary policy transmission, combined with upside inflation surprises, could push two-year euro swap rates another 100bp higher.

Markets remain very confident in the ECB's ability to keep inflation close to target

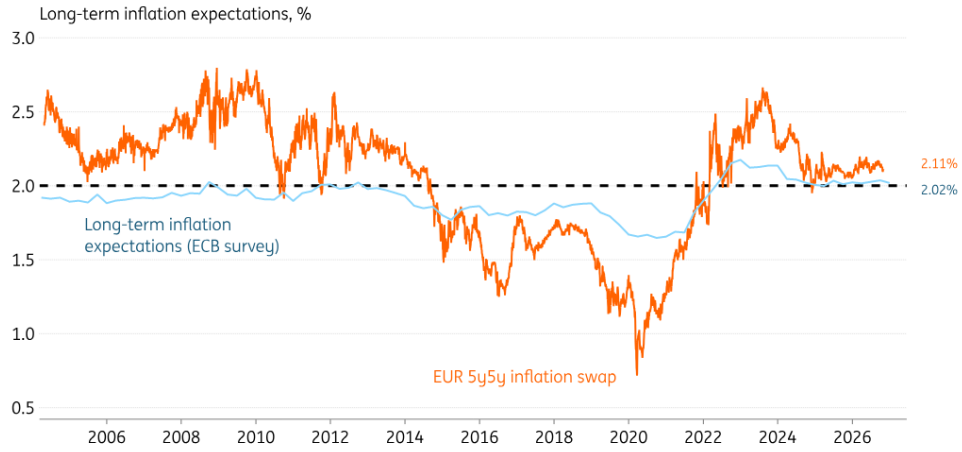


Source: ING, Macrobond

A related risk would be a dovish shift in the ECB reaction function, effectively tolerating higher inflation to support the eurozone economy. The 5yr5yr inflation swaps suggest that markets price very little risk to the ECB's commitment to the 2% target. At just 2.1%, the pricing is still well below the levels from before QE. France could, however, pose a challenge, as higher rates would trigger wider bond spreads, forcing the ECB to keep financial conditions supportive.

Quantitative tightening (QT) might be halted, and the ECB may simply have to accept higher inflation. Such a scenario does not appear to be priced by 5Y5Y inflation swaps. Brace for significantly steeper curves if this risk materialises.

An ECB forced to tolerate higher inflation looks like an unpriced risk

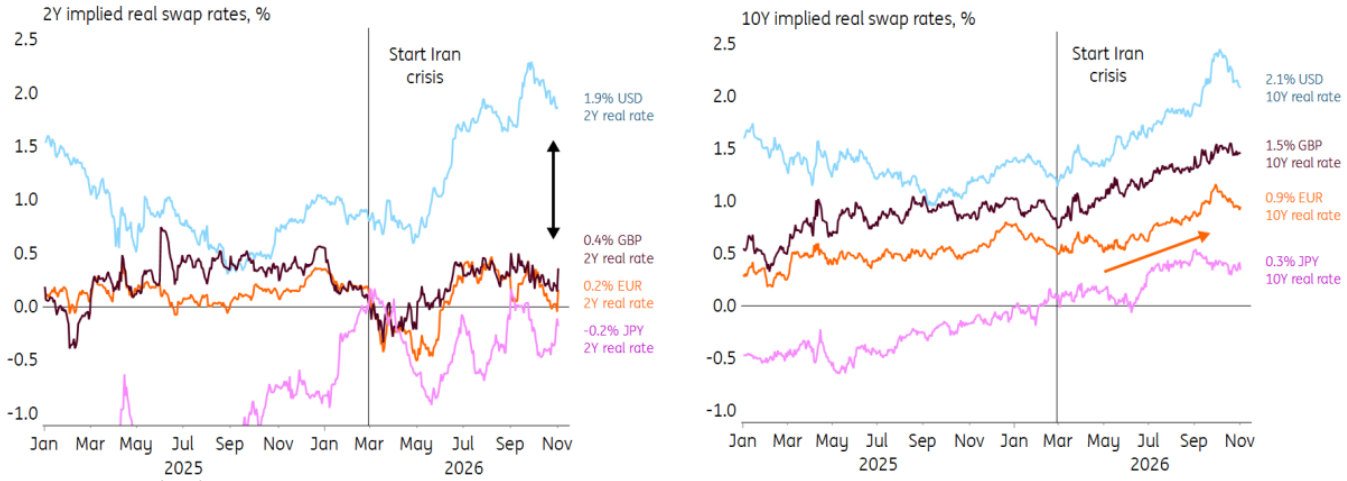


Source: ING, Macrobond

The US is crowding out the rest, pushing euro curves steeper

Longer-dated real rates are not anchored to central bank policy rates and are being pushed higher globally. The US is in the lead here, but the forces at work should be viewed in a global context. Quantitative tightening at all major banks continues to add bond supply that markets must absorb, pushing up longer-dated yields. Meanwhile, government debt is rising, adding to the issuance.

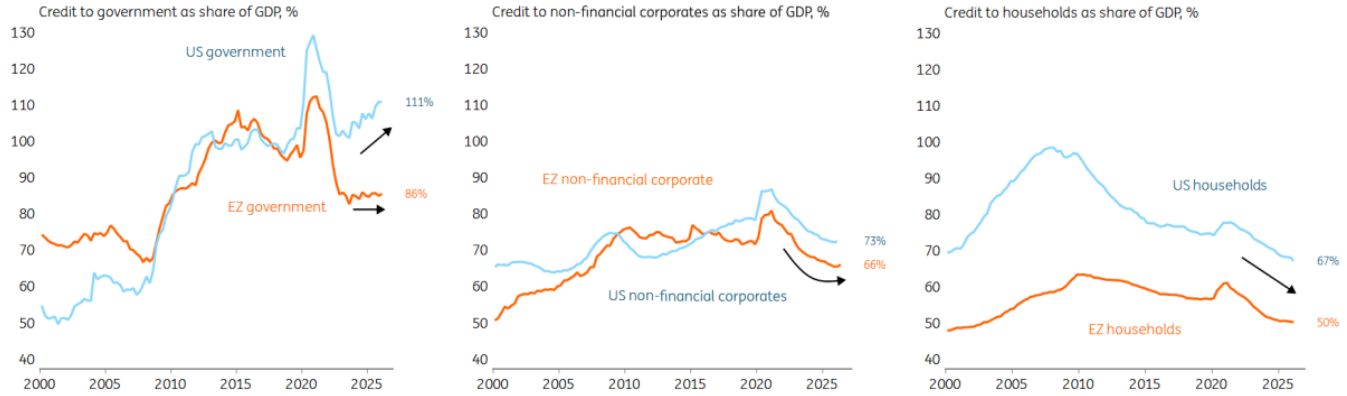
Global forces are pushing longer-dated rates higher, with no end in sight



Source: ING, Macrobond

We do not expect government bond supply trends to change overnight. We therefore think 10yr euro swap rates will remain relatively sticky at elevated levels, despite our baseline view of a move lower in 2yr rates. If the private sector also starts borrowing more, we may face even higher global rates. Corporates and households have been deleveraging since Covid, but the latest data may point to increased borrowing. This is not our baseline, as higher rates should weigh on investment appetite. The wildcard is artificial intelligence, which has driven investment in the US. Outside technology, however, the investment boom is not yet convincing.

US government debt is leading the credit cycle, but keep an eye on corporates

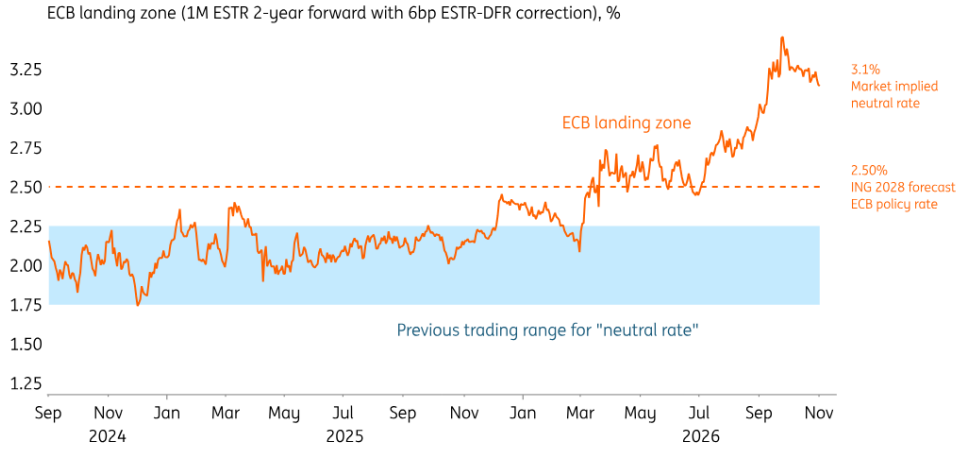


Source: ING, BIS, Macrobond

Fundamentals have not changed enough to warrant an entirely new normality

As economists, we want to see the economy return to a steady state, but such an equilibrium is now hard to pin down. We think markets in 2026 have gone too far in repricing the terminal ECB rate. An ECB rate settling above 3% is difficult to reconcile with the previous 1.75-2.25% range. Growth data have shown resilience, but the eurozone economy's structural challenges remain. Although we still see significant near-term upside risks to rates, we expect rates to begin anchoring around an ECB terminal rate of about 2.5% by the end of 2027.

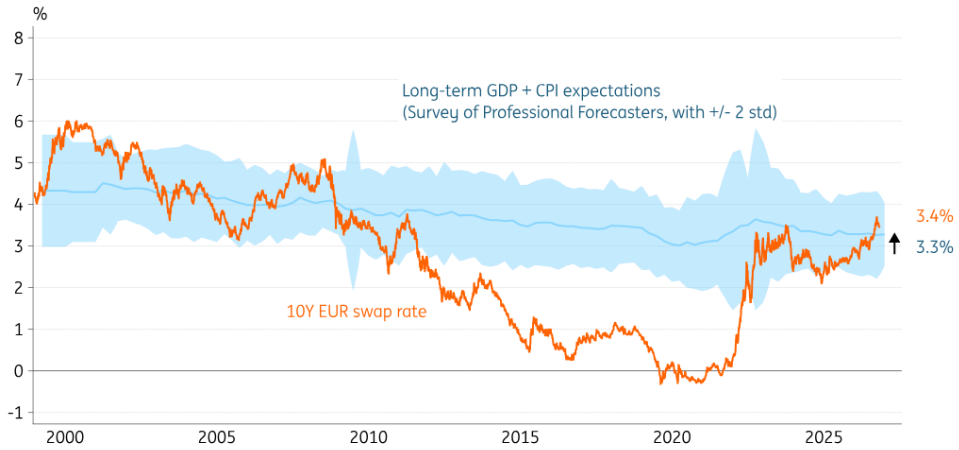
The sharp rise in the terminal ECB rate cannot be justified by macro changes



Source: ING, Macrobond

We do, however, think longer-dated rates are close to their historical fair value, limiting the downside potential for 10yr swap rates. Before the global financial crisis, 10yr rates were anchored around economists' long-term nominal growth expectations. Fiscal austerity and quantitative easing pushed rates away from this equilibrium, but we are now close again to nominal growth expectations of 3.3%. Although artificial intelligence could boost productivity, in our baseline the increase is not material enough to produce a fundamentally different economic outlook.

The 10yr swap rate is close to fair value, limiting downside potential



Source: ING, ECB, Macrobond

European bond spreads in a duel with the 'Bad'

Fiscal strains and election risks are putting eurozone bonds to the test. France is the key fault line, while Bunds' safe-haven appeal masks mounting supply pressures. We see a turbulent first half of 2027, and any relief hinges on a credible path to French fiscal consolidation

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European government bond markets – in a duel with the "Bad"

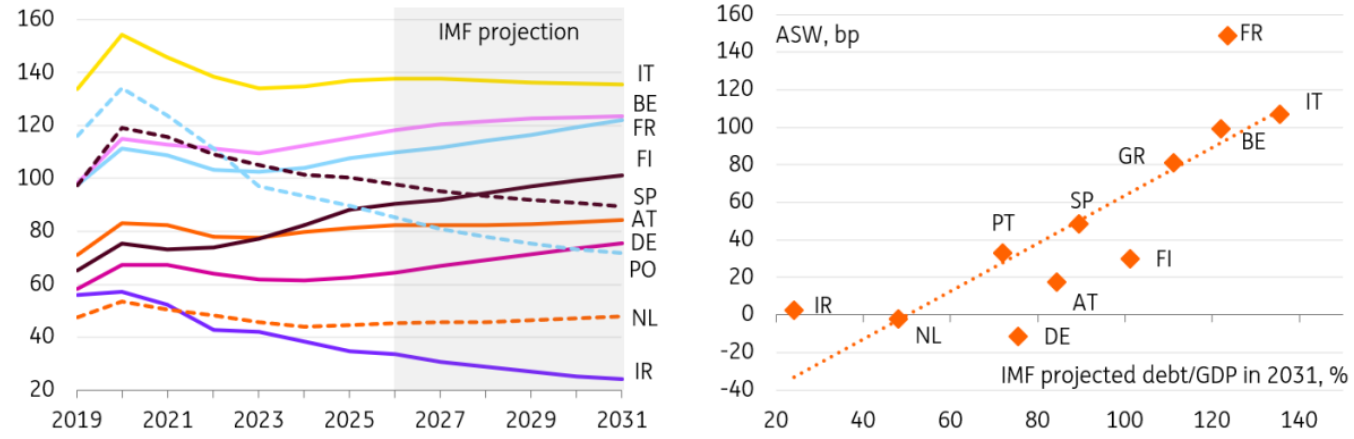
European government bond spreads have returned to the market's focus. Importantly, spread moves are not purely idiosyncratic country stories. They also reflect broader risk sentiment, and higher interest rate volatility generally pushes spreads wider. At the onset of the Middle East turmoil, for instance, we saw sovereign spreads become more closely correlated with energy prices and expectations for European Central Bank rate hikes.

But high deficits – the "Bad"– and existing fiscal imbalances have made some countries more vulnerable than others, and these factors are increasingly shaping the dynamics of sovereign spreads. The "Bad" has re-entered the scene and is once again dominating the narrative in parts of the European government bond market.

While France is already being singled out as a risk factor with the potential to change the broader outlook for European sovereign debt, Europe's busy election calendar suggests that idiosyncratic drivers could become more important overall. Spain goes to the polls later this month, and Italy will have to hold legislative elections before the end of next year. Finland will also hold parliamentary elections, while Germany faces elections in five federal states. And that is just to name the most prominent.

As markets navigate these political and fiscal risks, we expect spreads to remain at wider levels through much of the first half of the year.

Markets have reordered the EMU countries over the years, and have now singled out France



Source: d

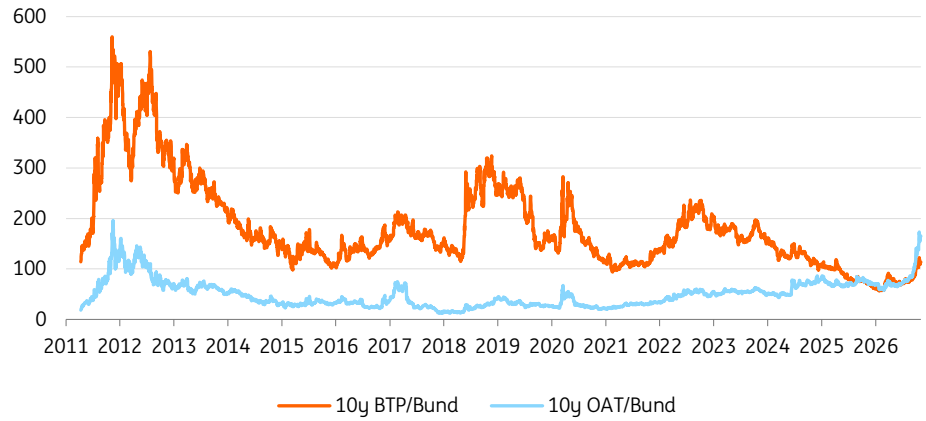
France – Facing the very "Bad", the one that could change it all

Moody's recently affirmed France's last remaining double-A rating but maintained a negative outlook. The underlying assumption is that a 2027 budget containing at least some fiscal consolidation will eventually pass, even if this requires the use of a decree. That would represent a step in the right direction and could offer French government bond spreads some welcome relief going into the new year.

Beyond that, however, a "significant and sustained fiscal effort" will still be required. The outlook is clouded by the 2027 presidential election, with the two voting rounds on 18 April and 2 May. The far-right's Marine Le Pen, the current leading contender, could subsequently call snap legislative elections in the summer in an attempt to break the parliamentary deadlock.

The benign scenario would be one in which Le Pen wins and follows through on her promises of fiscal consolidation. In that case, spreads could return towards levels seen before September, and France could conceivably trade tighter than Italy again. There is, however, still a long way to go before such an outcome can be taken for granted.

If Italy is the yard stick for a proper crisis, there is still room for escalation



Source: Refinitiv, ING

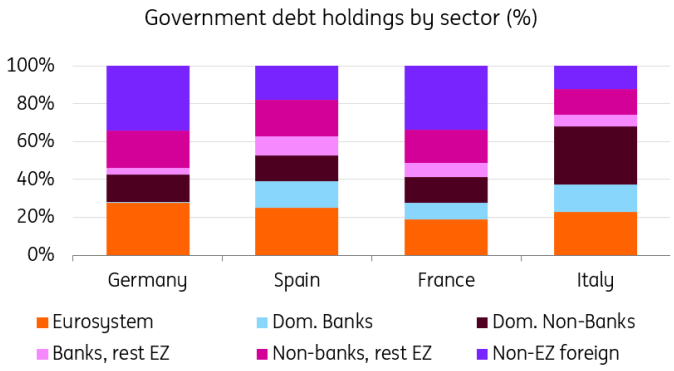
The consolidation plans presented so far by Le Pen appear unrealistic, while the French public does not yet seem prepared to support the scale of adjustment that would ultimately be required. Against that backdrop, the market is likely to continue demanding a sizeable political risk premium. In the absence of positive catalysts, we see a 10-year OAT-Bund spread in the area of 150bp as a floor during the period of electoral uncertainty.

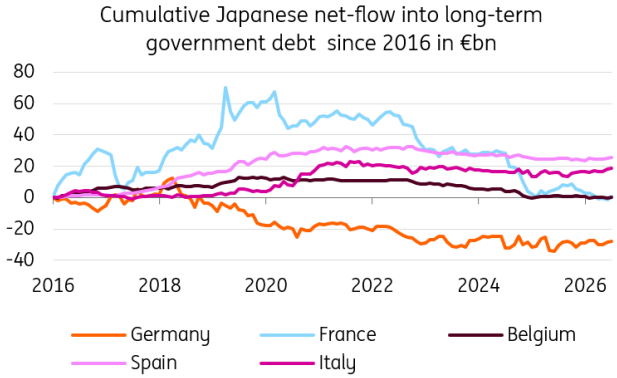
The tail risk is that public discontent instead translates into stronger support for the far left and Jean-Luc Mélenchon, whose proposals have included highly controversial ideas such as cancelling French debt held by the Bank of France. A greater probability being attached to such an outcome could push the 10-year OAT-Bund spread beyond 200bp.

More broadly, the absence of a credible multi-year consolidation plan, combined with the possibility of another hung parliament, would leave the door open to further sovereign rating downgrades, and not just from Moody's. In an unscheduled update, Fitch only recently lowered the outlook of France's A+ rating to negative. Under such circumstances, spreads could remain noticeably above 100bp even once the immediate electoral uncertainty has passed.

That said, we believe current spread levels already extend beyond what fundamentals alone would imply. The market is effectively pricing French debt as though it were already rated BBB. But prolonged and exceptionally high country-specific uncertainty, combined with elevated volatility in broader interest-rate markets, keeps valuations unattractive for many investors. One big risk is that structural foreign investors, which have historically been attracted by France's large, liquid bond market, start abandoning the credit. While data through August do not show any larger shifts, Japanese investors, for instance, have already shown themselves to be sensitive to French election risk in the past.

French has a large foreign investor base which has looked fickle around elections





Source: Bank of Spain, Bank of Japan, ING

The ECB can cap spreads, but does it want to?

In theory, the European Central Bank has both the instruments and the firepower to rein in sovereign spreads. But as long as the turmoil remains largely contained to France, we think the central bank will be inclined to let market mechanisms play out, thereby maintaining pressure on French politics to address the underlying fiscal issues. The ECB has historically been careful to avoid creating the impression of moral hazard.

If needed, the first and least targeted response would be to dial back hawkishness or even halt the tightening cycle. That might appear an easy way to calm markets. But as long as energy prices remain elevated and concerns about second-round inflation effects persist, there is a limit to how far the ECB would be willing to go solely in response to wider sovereign spreads.

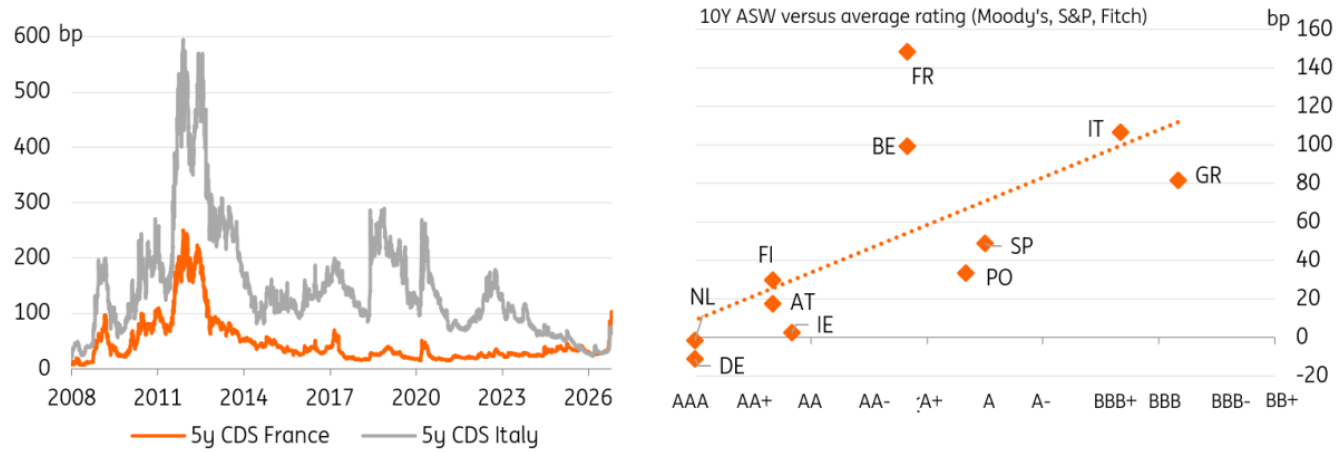
A more targeted option would be to suspend quantitative tightening by resuming reinvestments. The ECB could even frame such a move as part of a broader adjustment of its balance-sheet policy, particularly as excess liquidity in the banking system approaches levels at which demand for central bank refinancing is expected

to become more important. In theory, liquidity operations should take over at that stage. But as long as borrowing from the ECB continues to carry some stigma for banks, ending QT and resuming reinvestments could address two issues at once: easing pressure on sovereign bond markets while also slowing the decline in excess liquidity.

If turmoil were to spread further beyond France and threaten the transmission of monetary policy, the ECB could ultimately deploy its Transmission Protection Instrument. TPI comes with eligibility considerations, including compliance with the EU fiscal framework and debt sustainability, both of which would clearly matter in the case of France, although the ECB retains a degree of discretion in its assessment.

We think the bar for the ECB to actively intervene is high, however. By comparison, when the ECB intervened directly in Italian government bonds under the Securities Markets Programme in 2011, 10-year BTP-Bund spreads had moved beyond 500bp.

French bond spreads are already wider than fundamentals alone would imply



Source: Refinitiv, rating agencies, ING

Germany hides in a temporary safe haven from the "Bad"

Germany sits at the opposite end of the spread spectrum from France. Bunds have reasserted their traditional role as a safe haven during the turmoil in French government bonds. During the geopolitical tensions at the start of the Iran conflict, evidence of such safe-haven demand had been fleeting. This time, the richness of Bunds looks more persistent because the turmoil goes to the heart of some of the monetary union's longstanding vulnerabilities.

Yet the structural forces that had previously driven the cheapening of German government bonds have not disappeared.

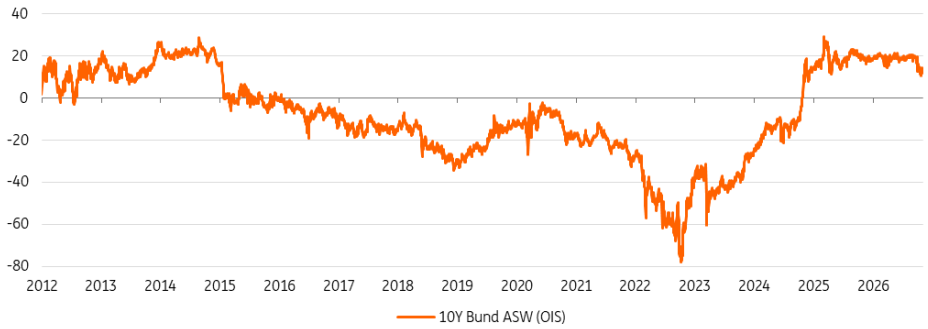
Bond supply is likely to increase again as the government continues to roll out its investment and defence spending agenda. The German Finance Agency's funding head has indicated that gross bond funding could exceed €400bn next year, around €50bn more than this year and making Germany the largest issuer of the union. Higher redemptions mean that the increase in net issuance is likely to be only around half as large. But the market must also absorb the German government bonds running off the ECB's balance sheet. We estimate that this could add at least another €80bn to the amount the private sector needs to absorb over the coming year.

At the same time, political instability threatens the government's reform agenda precisely when Germany needs to reset its economic model. An already fragile

governing coalition will face five state elections, four of them concentrated in April and May and the other in September.

Once the immediate flight-to-quality premium fades, we expect 10-year Bunds to cheapen back to at least 20bp over OIS, from around 13bp currently. Domestic fiscal and political factors could push the spread wider still by the end of the year.

10y Bund safe haven dynamics outweigh structural issues for now



Source: Refinitiv, ING

2027, likely a showdown in two parts

The first half of next year will still be dominated by eurozone political risk. France's 2027 budget might offer temporary but welcome relief at the start of the year, when an important funding window traditionally opens for many issuers beyond the government bond market.

The second half of the year may offer relief from the turmoil, largely contingent on the outcome of the French elections and whether a new president can offer a credible path towards fiscal consolidation. But at that point, Germany, as a core issuer, becomes exposed again to its domestic structural cheapening factors.

A delayed landing for GBP rates

GBP rates seem to have drifted too high versus Bank of England expectations, which we attribute to a significant risk premium stemming from prior trading trauma. We therefore see rates lower across the curve, but only once inflation risks settle and US rates ease lower. Meanwhile, structural supply factors will keep the sterling curve steeper

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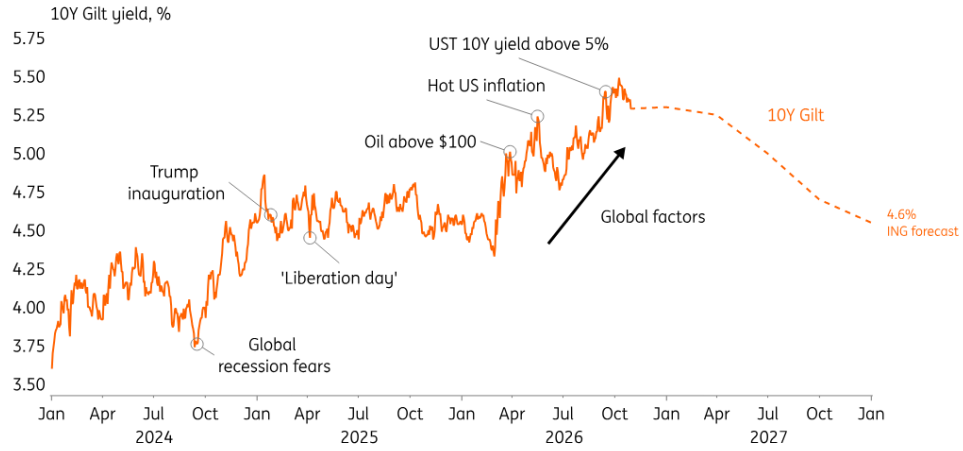
We see lower sterling rates in 2027, but global factors should keep the risk premium elevated

We expect domestic factors to pull rates lower in 2027, but global factors will continue to push gilt yields around. In our baseline forecast, we see the 10yr gilt yield easing lower as ugly inflation fears abate. The Bank of England could start considering rate cuts instead of more hikes. Looking back at the many global drivers pushing GBP rates around in 2026, we do think that the path lower will be volatile.

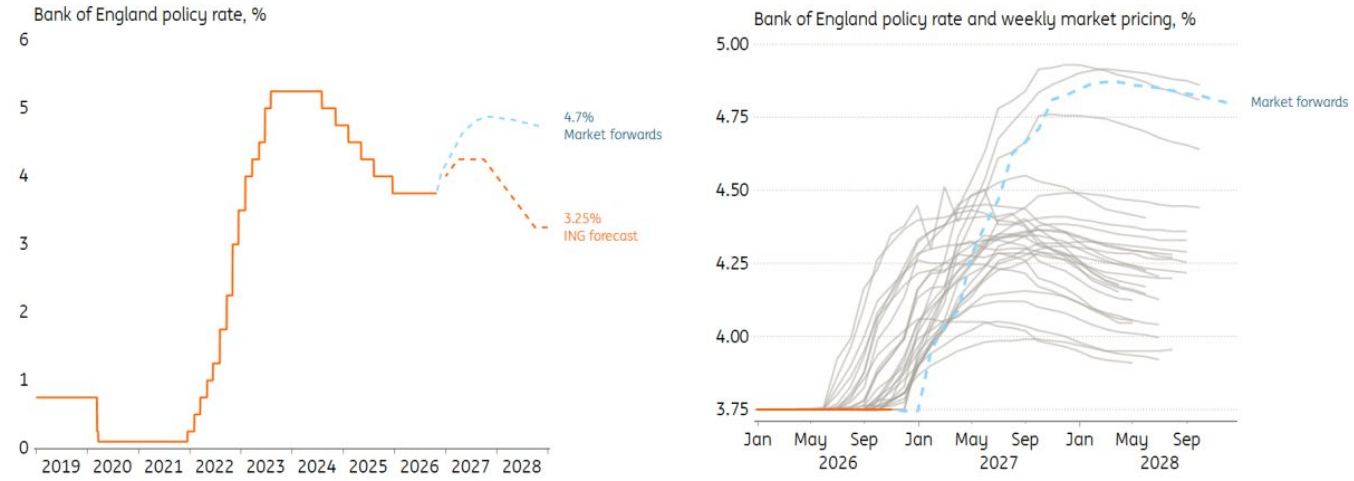
Easing UK inflation should bring rates lower, but global factors add volatility



Source: NG, Macrobond

The Bank of England's policy rate is already starting from a much higher level than those of its peers, which leads us to disagree with the significant amount of additional hiking priced in by markets. Forwards are now suggesting the Bank of England should hike at least 100bp, bringing the terminal rate to around 4.75%, above what markets are pricing for the Fed. The hawkish pricing already happened at the start of the surge in oil prices, but thus far, few rate hikes have materialised.

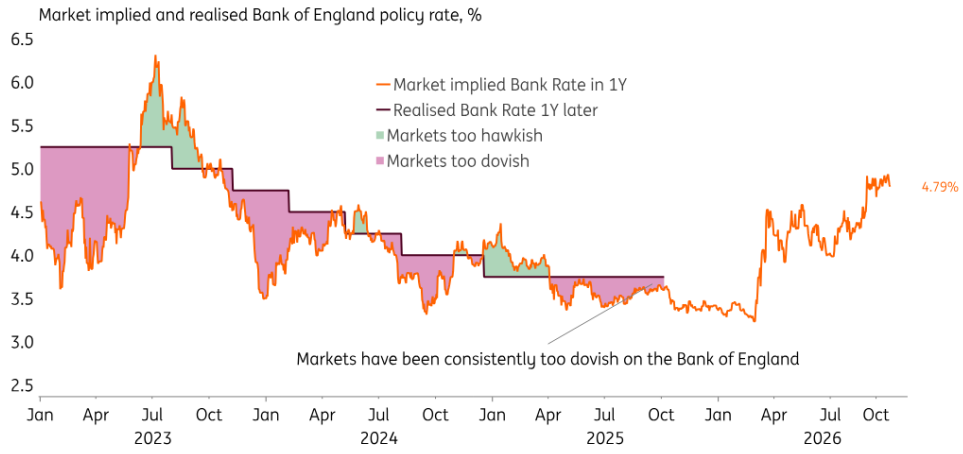
Markets keep overestimating the Bank of England's appetite to hike



Source: ING, Bank of England, Macrobond

The excessively hawkish reaction feels like a trauma from being too dovish over the past few years. When we compare market pricing to actual policy changes, we see that expectations have been almost consistently wrong since 2023. Past inflation was, however, uglier than expected, easing more slowly than hoped. As a consequence, the Bank of England has only been able to cut policy rates very slowly since the easing cycle started in 2023.

Investors have been burnt many times on taking dovish GBP rate positions



Source: ING, Bank of England, Macrobond

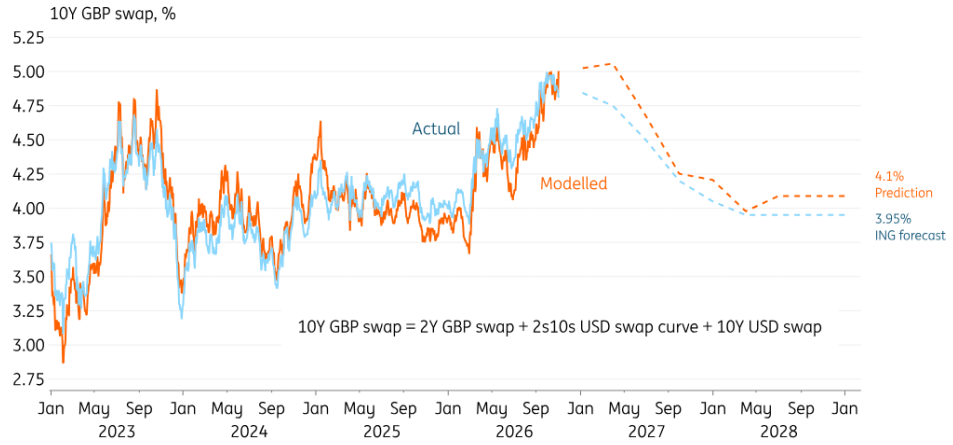
Having been burnt many times over the past year, we think the front end of the GBP curve has built in a risk premium that stretches beyond macro fundamentals. We therefore see 2yr GBP rates easing lower into 1H27 as energy prices should start coming off their highs and inflation doesn't surprise to the upside. But the bigger dovish turn will likely come in the second half as inflation numbers provide greater confidence about returning to the 2% target.

US rates add additional uncertainty to sterling rates

US dynamics cannot be ignored and should eventually also help sterling rates glide lower. The 10yr GBP swap rate can be modelled almost perfectly by Bank of England expectations and the US swap curve. These factors together explain some 98% of rate moves.

Two US ingredients are important: the level of the 10yr rate and the 2s10s slope of the curve. Our baseline forecast sees materially lower 10yr US rates, helping the 10yr gilt move lower in 2027.

Policy expectations and US rates account for 98% of 10Y GBP swap moves



Source: ING, Macrobond

But the US is facing inflation risks and a high deficit, adding uncertainty to the gilt outlook. If US inflation turns out to be more persistent than hoped, we could see the 10yr USD swap rate push toward 6%, spilling over to the sterling market. Similarly, concerns about global government debt and AI issuance can add to the upward pressure on global rates.

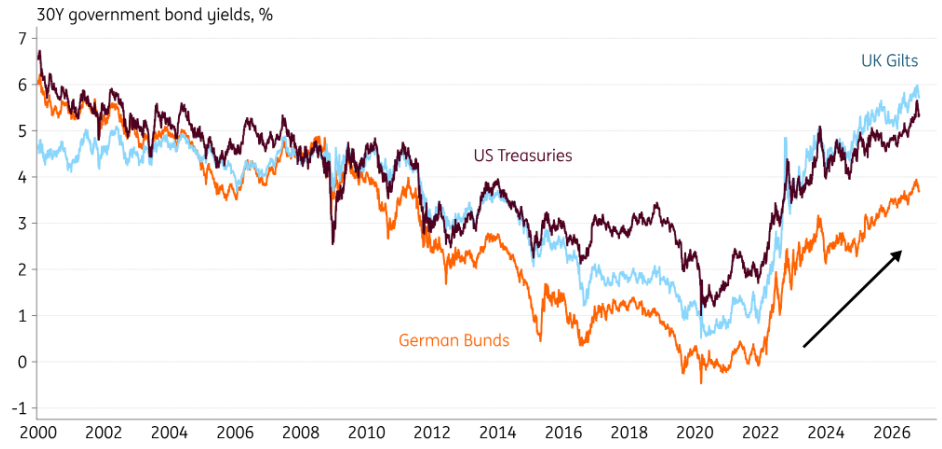
Changes in QT won't stem the upward pressure on rates due to supply

While we think the UK is in a better position than most peers when it comes to "bad" government deficit and debt dynamics, supply pressures will continue to exert upward pressure on gilt yields. Thus far, the Bank of England has more actively reduced its balance sheet, adding to the supply for the private sector to absorb. Earlier this year we estimated that quantitative tightening (QT) added significant steepening pressure to sterling curves – more so than the Bank of England suggests.

The new approach to QT should ease the upward pressures on 30yr gilts, but the broader outlook remains the same. By keeping gilts on the balance sheet with maturities of 23 years or longer, markets no longer have to worry about absorbing that part of the curve. Having said that, the rise in 30yr yields is a global trend and not something on which the UK has a lot of influence.

Meanwhile, shorter maturities will still hit the market, albeit with a detour through the government Debt Management Office (DMO). The DMO could decide to shift gilt issuance to bills, but we doubt such a strategy will be pursued. Add a still-negative budget deficit, and we should see supply pressures persist.

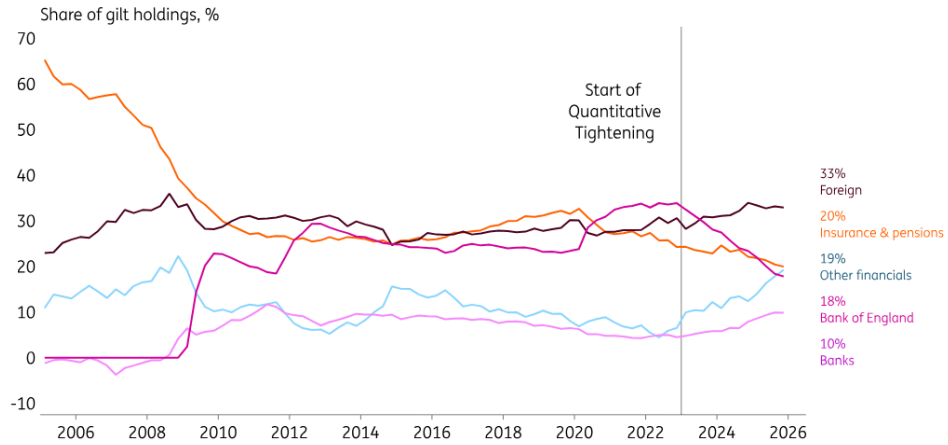
QT tweaks help 30yr gilts, but cannot revert a global trend of increased bond supply



Source: ING, Macrobond

The increased gilt supply is currently absorbed by relatively price-sensitive buyers. This increases upward yield pressure and can come with volatility. Banks are only absorbing part of the increase in supply, while insurance and pension funds are playing a smaller and smaller role, which is especially punitive for longer maturities. Foreign investors and other financials (i.e. asset managers, hedge funds) are picking up the slack. But these types of investors are more relative-value-focused and can be quick to sell if gilts start looking less attractive.

Gilts rely on price-sensitive buyers to pick up the increase in supply



Source: ING, UK Debt Management Office

The grand Dutch pension reforms finale

The biggest wave of Dutch pension reform is still to come, with more than €900bn in assets set to transition in 2027. Yet we expect the immediate market impact to remain limited. Healthy funding ratios should contain large-scale hedge unwinds, while the more lasting consequence will be more frequent swap rebalancing as hedging becomes tied to asset prices

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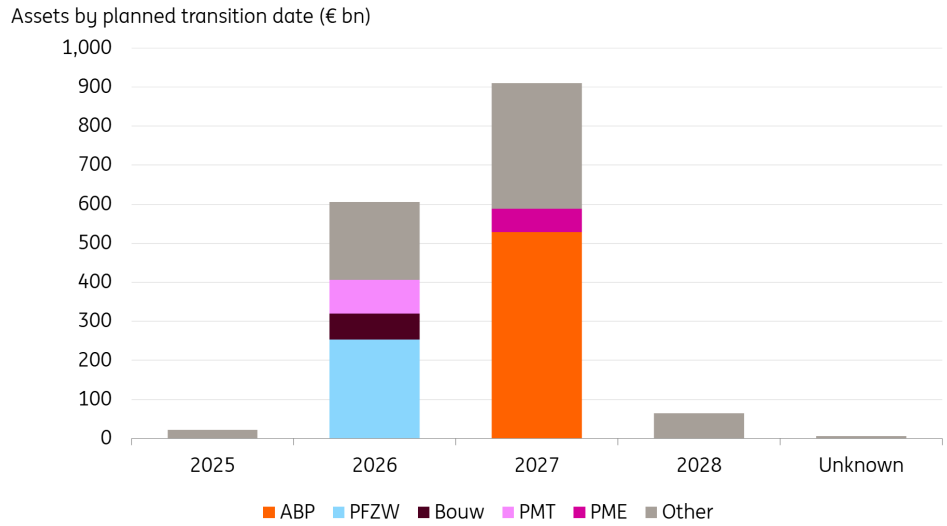
We should see the peak of Dutch pension reforms in January 2027, with the steepening impact for long-dated rates limited by global market conditions

The biggest wave of Dutch pension fund transitions is still ahead of us

Dutch pension funds hold over €1.5tr in assets, and ongoing regulatory reforms are leaving a material mark on global markets. In essence, the reforms move Dutch pensions from a defined benefits framework to a more defined contributions-like setup. Around €600bn of assets have already transitioned in 2026, and for 2027 we brace for another €900bn.

January 2027 marks the last major transition date



Source: ING, De Nederlandsche Bank, PensioenPro

In the new system, interest rate hedges are set by age cohort instead of at the fund level, which reduces the demand for longer-dated fixed income. The exposures of younger participants are only partly hedged. In the case of ABP, the hedge is just 10%.

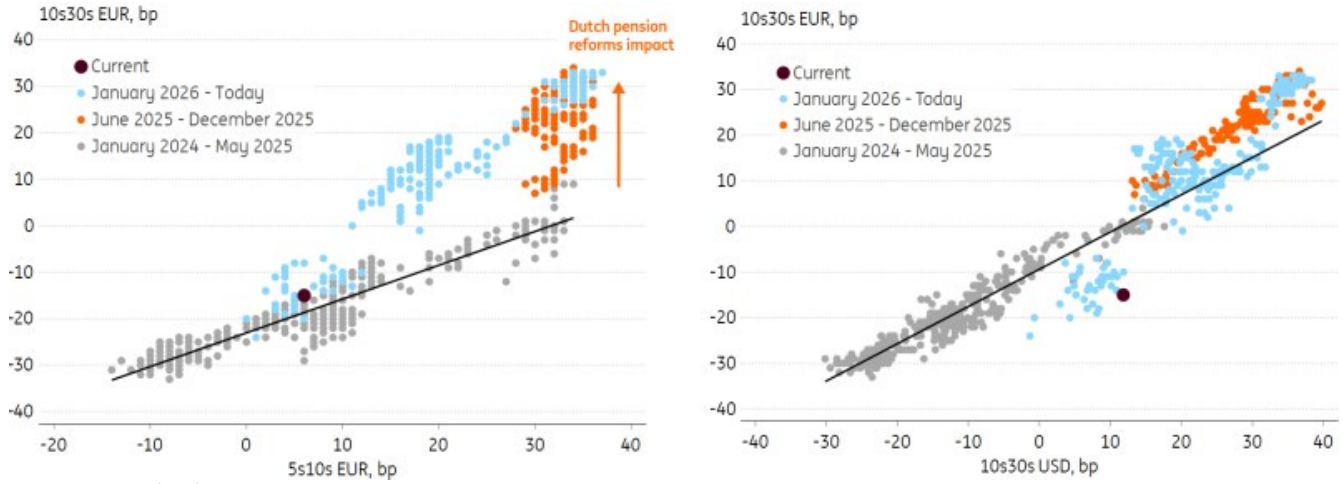
For older participants, this hedging ratio increases to 75%. In effect, this means demand for interest rate hedges at very long maturities, i.e. 25 years and beyond, will be relatively small. Participants in (or close to) retirement will, however, still demand fixed income products, often even more than under the old system. But the maturities for hedging these cash flows are much shorter.

Market impact overruled by macro drivers

A steeper 10s30s curve is the natural consequence of these reforms, but the impact is secondary to the broader macro landscape and will thus need time to materialise. We think the Dutch pension reforms contributed some 20bp to the 10s30s steepening in 2025, but part of this was also linked to speculative flows from other financial players.

In 2026, we have not observed the same steepening pressures, and instead the flattening of the 10s30s curves was mostly driven by a hawkish repricing of the European Central Bank and the Federal Reserve. Structurally, we still see scope for a significant steepening in the 10s30s, as changing demand from Dutch pension funds also plays a role. But for this move to materialise, markets first need to gain more confidence about the inflation outlook, pulling the front end lower.

The flattening of the 10s30s can mostly be attributed by macro drivers



Source: ING, Macrobond

We expect an orderly transition with limited market impact in January, helped by healthy funding ratios. Record-high equity prices and higher swap rates result in funding ratios well above the 105% threshold. ABP's funding ratio is even above 130%. Upon transitioning, asset prices become a direct determinant of hedging needs. In effect, higher equity prices therefore mean less need to unwind interest rate hedges. We also know that many pension funds transitioning in January 2026 had already completed their hedging in the months before, limiting the market impact at the start of the year.

Pension funds will be forced to rebalance hedges more frequently

The shift from liabilities to assets as the basis for hedges also forces more frequent rebalancing. Liabilities under the old system were relatively stable since these were promised payments in the future. Liabilities were only reviewed once a year for inflation indexation purposes. In the new system, the liabilities are a direct function of the fund's total assets, which are volatile by nature and move up and down alongside global financial markets.

When equities rise in value, pension funds will have to increase interest rate hedges to match higher liabilities. In theory, this should trigger large swap flows on a monthly basis to ensure compliance with the set hedging ratios. In practice, however, pension funds are likely to operate with narrow ranges around the hedging targets. While this should avoid sharp flows on every market move, we still anticipate more activity than under the old system.

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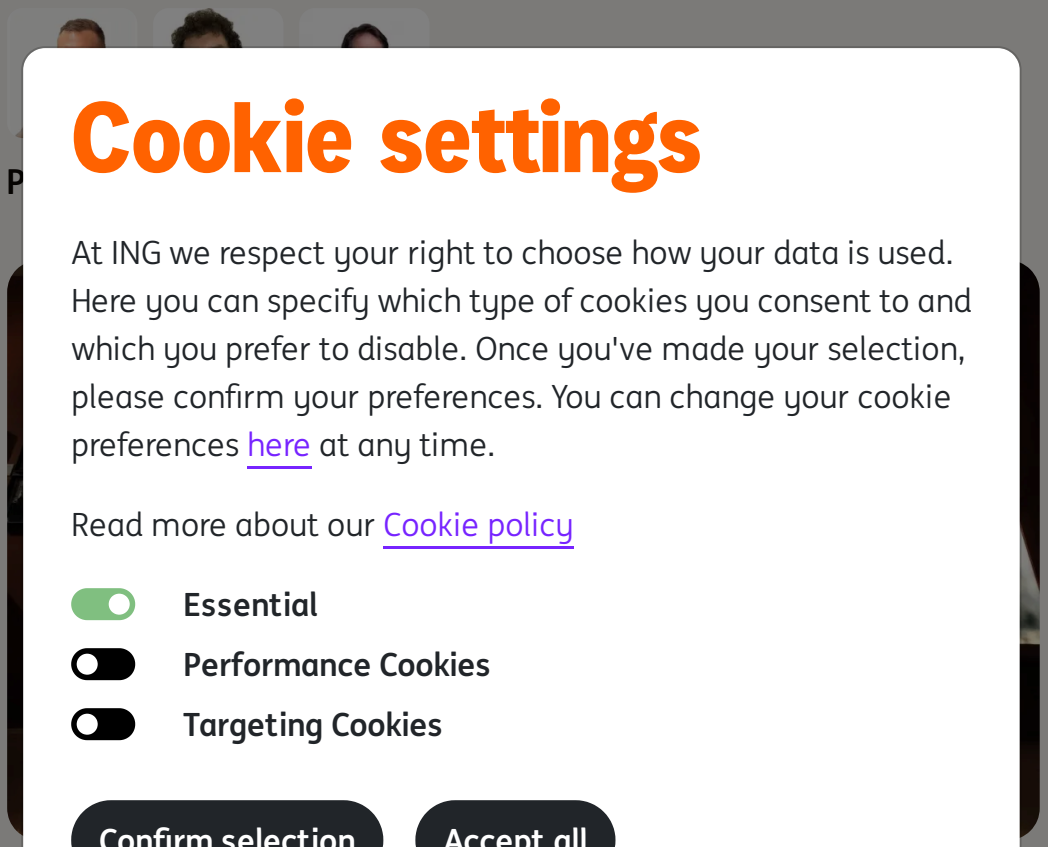
The spaghetti-western title neatly captures the three big forces shaping long-end rates: the 'good' of AI-driven productivity, the 'bad' of elevated fiscal deficits, and the 'ugly' of renewed inflationary pressure from ongoing wars. By the middle of 2027, however, things should start to look a little less ugly as inflation falls



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Key calls and themes and 2027

US rates and a triple whammy of obstacles to overcome

- In the US, our baseline view centres on the good, the bad and the ugly causing trouble in the coming months, and right through the first quarter of 2027 at least, to prompt a return of the 10yr US Treasury yield to the 5.25%-plus area (vs 4.9% currently). We'd cap the absolute upside at 5.5%, as waiting later in 2027 is a 2%-plus handle for GDP growth and inflation, alongside a stable but not worsening debt dynamic narrative.

The fall in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That allows long-dated yields to edge back down, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone, which is still above normal, but rightfully so. We don't call for it, but a decision to materially cut long-end Treasury funding would push in the same direction.

Euro rates have good reason to be nervous

- For euro rates, we also expect a bumpy ride at the start of 2027, whereby markets anxiously weigh each inflation reading

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A delayed landing for GBP rates

- Sterling rates are well above levels we consider fair value, but trauma from turning too dovish too quickly is still on investors' minds. Only once the Bank of England can prove its ability to bring inflation closer to target (by the end of 2027) do we pencil in a significant repricing lower for GBP rates. Relatively high sensitivity to US rates means we don't expect the path lower to be a smooth one. And with gilt markets increasingly reliant on risk-sensitive investors, we think a material term risk premium remains justified.

The grand Dutch pension reforms finale

- Dutch pension reforms are reaching their finale as almost €900bn of assets are scheduled to transition in January 2027. The reforms should keep the 10s30s euro swap curve structurally steeper, but macro will continue to be the main driver of the curve for now. Under the new system, we expect more swap flows throughout the year as the need for interest rate hedges moves in tandem with asset prices (i.e. equities).

US | Interest rates | Inflation | Federal Reserve

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The National Bank of Poland (NBP) kept rates unchanged in November despite a sharp upgrade to its 2027 inflation forecast. With the price shock still manifesting in energy and limited signs of second-round effects, we think the NBP can afford to wait, with any rate hikes unlikely before early 2027

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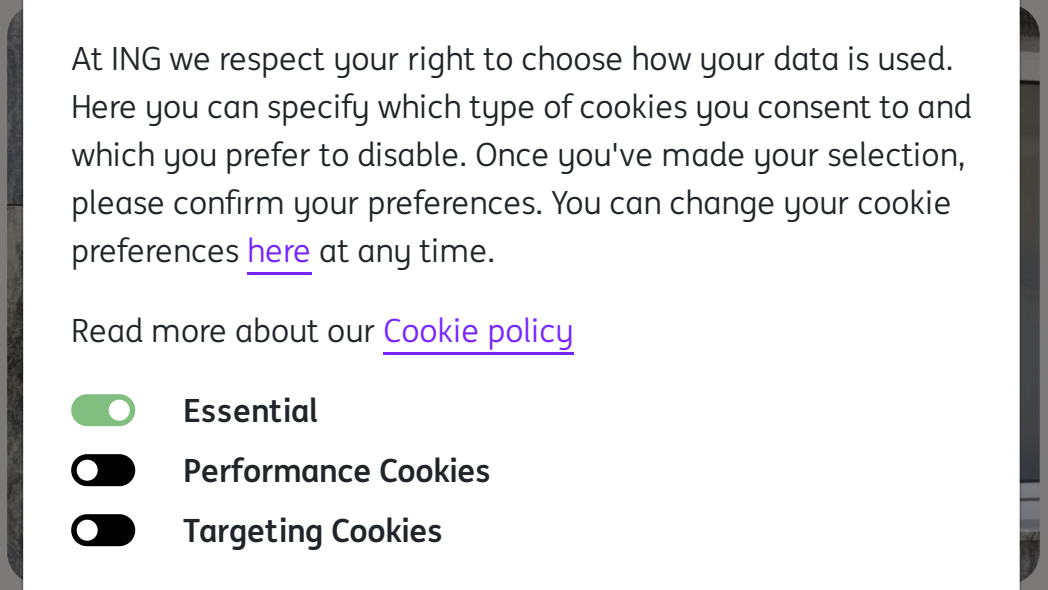

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NBP leaves rates unchanged despite high inflation expected in 2027

In line with our and market expectations, the Monetary Policy Council (MPC) left the National Bank of Poland's interest rates unchanged in November. The reference rate remains at 3.75%. We did not share market expectations regarding the scale of rate hikes that were previously priced in, with the yield curve at some point pricing 125bp of tightening and a first hike as early as November.

Little change in the MPC statement

The tone of the MPC's statement accompanying the decision was unchanged from October. The Council repeated the final two paragraphs without any changes. It again noted that future decisions would depend on incoming information on the outlook for inflation and economic activity in Poland.

The list of risk factors was also unchanged, covering fiscal policy, regulated energy prices, the economic outlook and wage growth. The MPC noted that available data point to a slowdown in GDP growth in 3Q26, as well as a decline in core inflation in October. According to our forecasts, GDP growth eased to 3.4% year-on-year in the third quarter from 4.1% YoY in the second quarter.

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With a 50% probability, annual CPI inflation is projected at around 3.2% in 2026, around 4.2% in 2027 and around 2.9% in 2028, compared with 2.9%, 2.7% and 2.2%, respectively, in the July projection. Annual GDP growth, with a 50% probability, is projected at around 3.7% in 2026, around 2.9% in 2027 and around 2.8% in 2028. The July projection put the corresponding figures at 3.7%, 2.8% and 3.0%.

Inflation breakdown shows no signs of broad-based pressure or second-round

effects

Inflation developments in Poland so far point to a pure supply-side shock that is affecting energy prices and the prices of goods and services closely linked to energy, but there are no signs of broader price pressures spilling over across the economy. Nor do we currently see evidence of second-round effects.

Wage pressure is subdued, while slowing wage growth combined with higher fuel spending is weighing on households' real disposable incomes. At the same time, the propensity to save remains elevated, creating a demand constraint that makes it h
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rate hikes will come no earlier than 1Q27, with a cumulative 50bp increase in rates. The latest inflation projection supports this scenario.

We see several important arguments in favour of rate hikes early next year. The longer the energy crisis persists, the greater the risk of broader price pressures emerging across the economy, something the central bank will want to contain. In addition, the new year could bring substantial increases in regulated prices for households, particularly gas prices, potentially shifting the inflation path higher, although the government has declared its readiness to

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intervene. Furthermore, additional monetary tightening by major central banks, including the Federal Reserve and the European Central Bank, could increase depreciation pressure on the Polish zloty, raising import costs and potentially boosting inflation. Estimates suggest, however, that the exchange-rate pass-through to inflation in Poland is limited.

Whether the rate hikes we expect in early 2027 materialise will also depend on the durability of the correction in commodity markets. We still cannot be certain that the decline in energy prices will prove lasting. It may reflect a response to the weakening of President Trump's political position following the midterm elections in the US,

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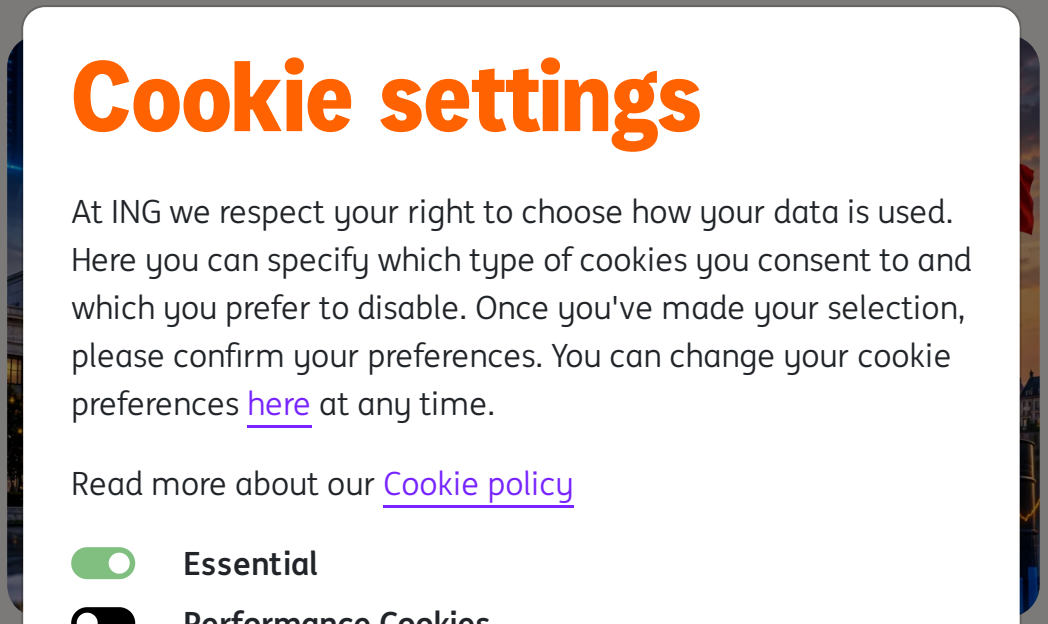
Join ING's economists on 10 November as they share their biggest calls for 2027, plus the risks and surprises that could knock the global economy off course. Sign up here

Carsten Brzeski, James Knightley, James Smith and Rebecca Byrne



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crashing down, taking business investment with it? Can Europe's surprising economic resilience continue, or will dramatic elections, political brinkmanship and rising bond yields herald a return to stagnation?

Join ING's economists on Tuesday 10 November as we launch our **2027 Economic Outlook**. We'll take you through our biggest calls for the year ahead, and the unexpected twists that could knock the global economy off course. Sign up here.

You'll learn:

- Whether the US growth story can keep defying expectations, powered by booming AI investment and resilient consumer spending
- How higher energy prices and political upheaval could reshape the outlook for Europe's major economies
- Where inflation is heading and whether we'll see second-round effects from the mounting energy crisis
- What we expect from the major central banks, including the Federal Reserve, European Central Bank and Bank of England

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Economic outlook

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We expect a 7-2 vote to hike rates this week and, barring a collapse in energy prices, we think a follow-up move in February is likely too. However, market pricing for the Bank of England still looks extreme

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above 4%

The Bank of England has so far managed to avoid a rate hike since the start of the Iran war, but that's about to change. We, like most, expect a hike at its 5 November meeting, and think a follow-up move in February is more likely than not.

Why now? Until now, the Bank would argue it's been on "active hold". It was set to cut rates by upwards of 50 basis points this year, so simply not doing that amounted to de facto tightening. By that logic, the Bank has added a similar amount of policy restriction as the European Central Bank, which has lifted its deposit rate twice.

But the worsening energy crisis has made it much harder for the Bank not to act. The spike in natural gas prices means inflation is set to take another leg higher into winter. A circa 25% rise in the regulated cap on household energy bills in January is all but baked in.

We expect headline CPI to peak a touch above 4% early next year, and we think the BoE's new forecasts will show this too. The Bank's July projections had inflation reaching 3.2% in late 2026, based on oil below US$80/bbl and natural gas at around half its current level.

Energy prices have risen significantly since t

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The Bank is set to hike rates for insurance purposes

4% is an important line in the sand for the BoE. Last summer, the Bank set out research suggesting that second-round effects become more likely once inflation surpasses this level. We suspect this is still front of mind for many officials.

Then again, there is essentially no sign of these much-feared second-round effects so far. Away from motor fuel, inflation has been in line with the Bank's July forecasts. Our measure of 'energy-

intensive' inflation has actually fallen this year, even after accounting for one-off changes in water bills and car tax.

One of the Bank's favoured measures of 'core services' inflation, which strips out volatile and indexed categories, is well-behaved too. And though it has likely bottomed out, private-sector wage growth at 3.4% year-on-year is hardly problematic. Despite signs of stabilisation in the jobs market, there's little evidence wage pressures are set to build.

True, growth has been much better than feared. But then the Bank has often taken a more sceptical view of the GDP numbers,

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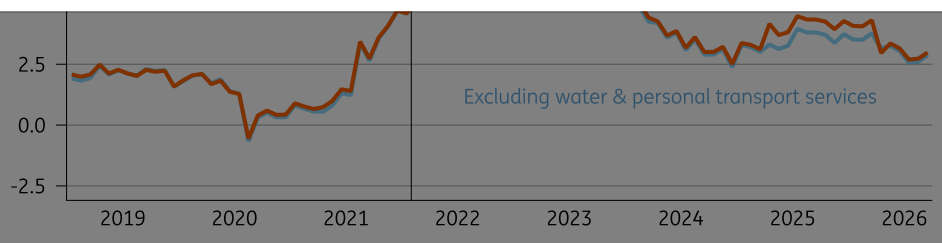

Based on data from the ONS categorising the inflation basket by energy intensity

Source: Macrobond, ING

The key things to watch

So what should we watch at the November meeting?

First, the vote split. We know there are two doves, Swati Dhingra and Alan Taylor, who are deeply sceptical of the need for higher rates. But we suspect the other seven committee members will back a hike. Could there be more dissenters? Governor Andrew Bailey hasn't sounded hugely enthusiastic about hiking, though a governor has only dissented twice since 1997 and both times in the financial crisis.

So if there is extra dissent, Sarah Breeden looks the most likely candidate, having stressed that most businesses are absorbing the energy shock rather than raising prices. Dave Ramsden is another, less likely, candidate.

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rate rises. But it's one thing thinking that, another saying it out loud. There's a lot that can happen between now and February. And having made a hawkish misstep all the way back in March, when the Bank sounded open-minded about tighter policy, opening the floodgates for markets to price in rate hikes, it'll want to tread carefully here.

A more dovish formulation would be if the Bank makes further hikes explicitly contingent on second-round effects: one hike as an insurance move, but anything more requiring solid data. For example, *"If there were evidence of more persistent second-round*

effects in wage and price-setting, further tightening in monetary policy would be required".

Finally, watch the individual member paragraphs tucked away in the minutes. Does anyone formally push back against market pricing, which has more than four hikes priced by this time next year? Even Chief Economist Huw Pill, one of the hawks, has recently indicated that such pricing looks unlikely.

The impact on rates markets

Even if the Bank does choose to push back, will markets listen?

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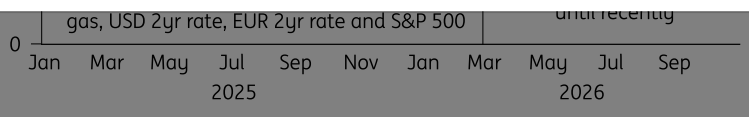
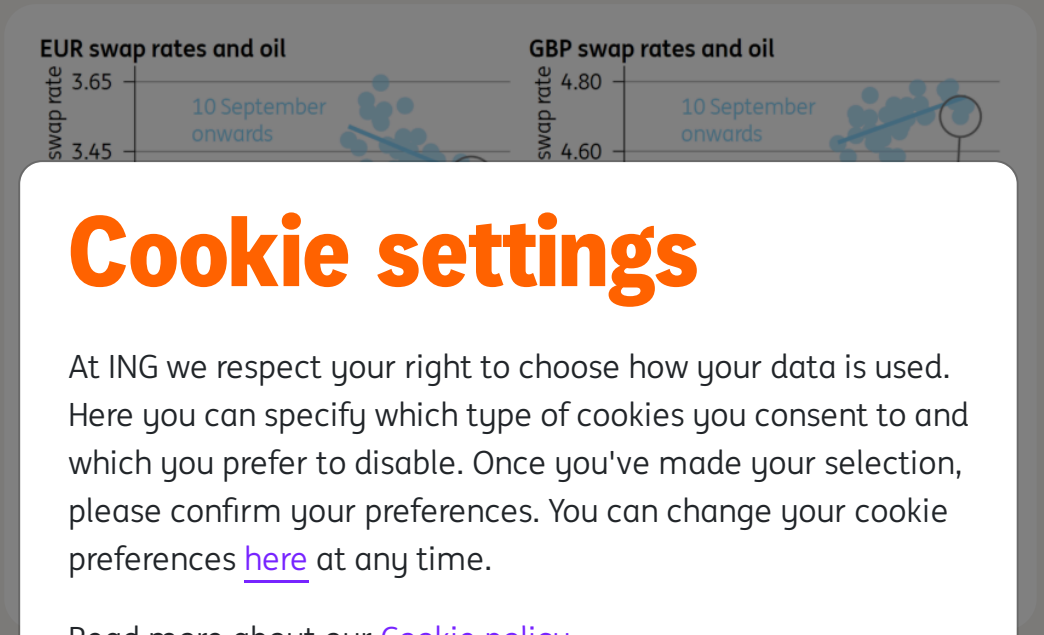


Source: Macrobond, ING

Indeed, the dovish repricing that we've seen for the Federal Reserve and European Central Bank has not been mirrored in the UK. Perhaps it's because Britain lacks a story like France has or, in America's case, AI fears. But robust UK growth data may also be playing a role. Economic surprise indices have been touching multi-year highs.

Still, UK swap rates remain deeply correlated with oil prices. And barring a big surprise, and with more than 100bp of hikes already priced, it's hard to see the Bank triggering a substantial repricing of rate expectations at this meeting.

GBP rates remain positively correlated with oil - unlike EUR rates



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helping sterling too. Notably, speculators are still running reasonably large short positions in sterling, which suggests this period of sterling outperformance can continue.

EUR/GBP has come a long way very quickly – a near 4% drop in a little over a month. Some consolidation is probably due. But with high energy prices likely to keep expectations of higher UK policy rates in place until early next year and French budgetary problems unresolved, it is too early to expect a significant low in EUR/GBP.

United Kingdom GBP Bank of England

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Is COP still worth following? We think so. What matters for businesses is whether this year's COP31 can improve the business case for action. Here are four areas to watch

Coco Zhang and Gerben Hieminga

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energy demand... they have all made it harder for governments to turn climate commitments into action.

That raises an important question for businesses: Is the Conference of the Parties (COP) still worth following?

Our answer is yes.

Businesses do not just invest in climate targets; they invest in viable projects and operations. But many of them still face economic and practical barriers. Grid constraints and high electricity costs can slow electrification. Greener industrial products can struggle to

attract buyers willing to pay a premium. And climate adaptation plans do not always translate into investable projects.

Businesses cannot solve these challenges alone. In a 2025 UN survey of more than 2,000 CEOs across 128 countries, 92% said strong global governance and coordinated policy are “critical” or “important” to implementing their sustainability agendas.

That is why COP is still relevant. It can help align policy priorities, improving investment conditions, and connecting businesses with the right resources. At COP31, four areas will be particularly important for businesses to watch.

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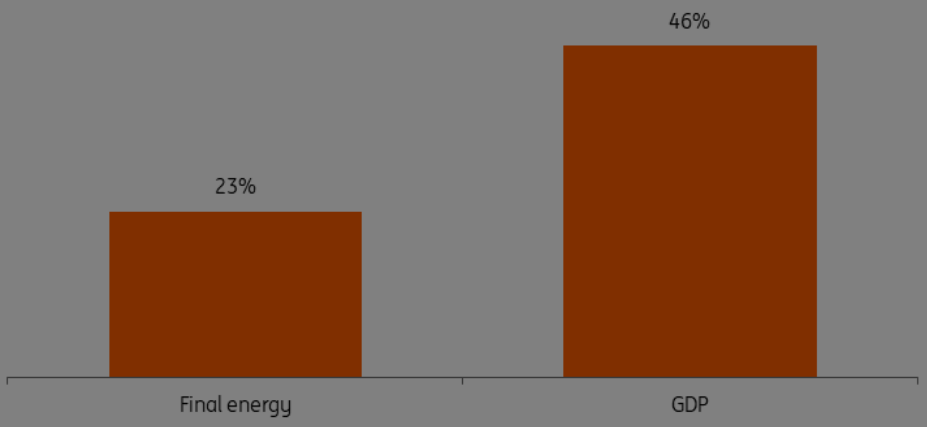
Global share of electricity in final energy and GDP, 2025, in %



Source: ING Research, International Energy Agency

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into direct technical assistance and ready-to-deploy models

- Set country- or sector-level targets and pathways to encourage industry alignment and commitment
- Improve access to finance by expanding dedicated financing for developing countries, while lowering upfront costs in Europe
- Improve the economics. Coordinate energy pricing reforms to make electrification more competitive with fossil fuel combustion alternatives, including by reducing taxes and grid fees that raise electricity prices
- Strengthen infrastructure by encouraging governments to reduce permitting barriers (e.g. Europe and the US), advance

regulatory support for power demand flexibility, and expand cross-border grids where needed (e.g. Southeast Asia)

If COP31 delivers meaningful action in these areas, the implications for businesses could be significant. Stronger policy could accelerate near-term grid connections and enhance long-term investment confidence. Meanwhile, companies may need to work more closely with utilities and regulators to secure the power they need.

Green industrialisation remains critical

But electrification is only part of the story. Industry is another major source of process emissions, with sectors such as steel

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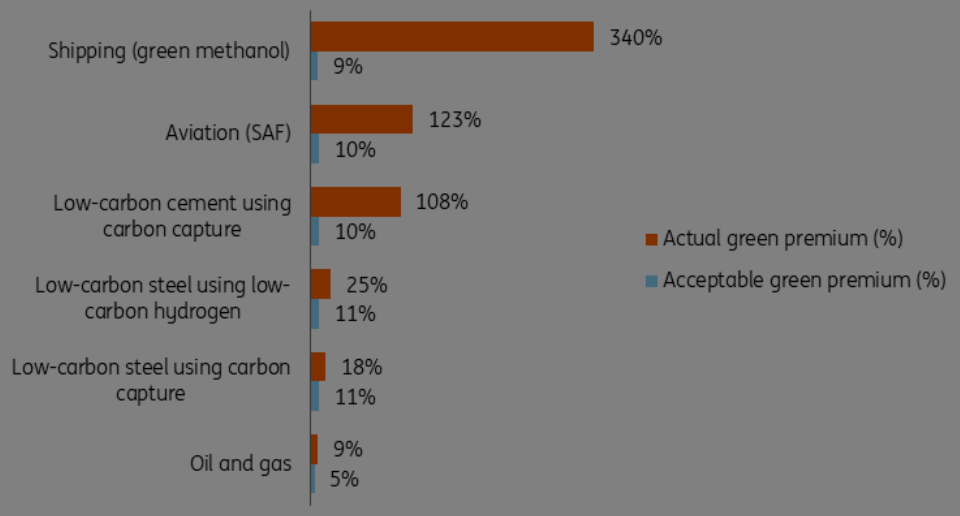
cleaner industrial products remains limited. And the necessary infrastructure for many is still underdeveloped.

Hard-to-abate sectors' green premium is way higher than what companies are willing to pay

Difference in cost, low-carbon versus conventional products, in %



Source: World Economic Forum, ING Research

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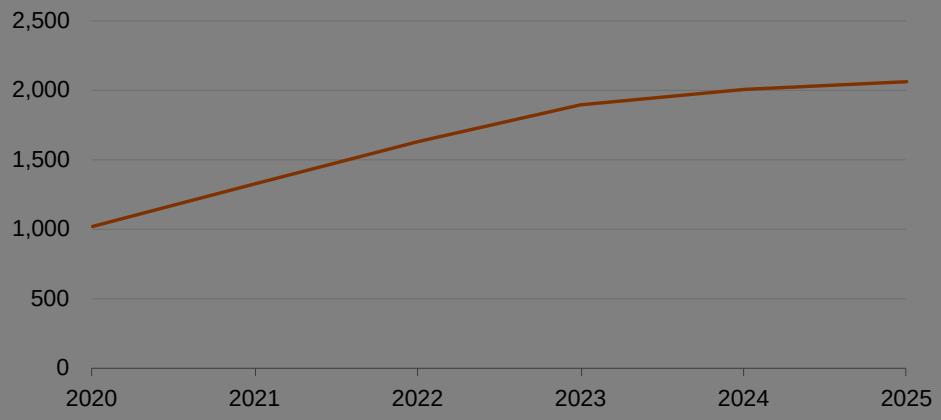
Global climate finance continues to grow

Finance levels in $bn



Source: Climate Policy Initiative, ING Research

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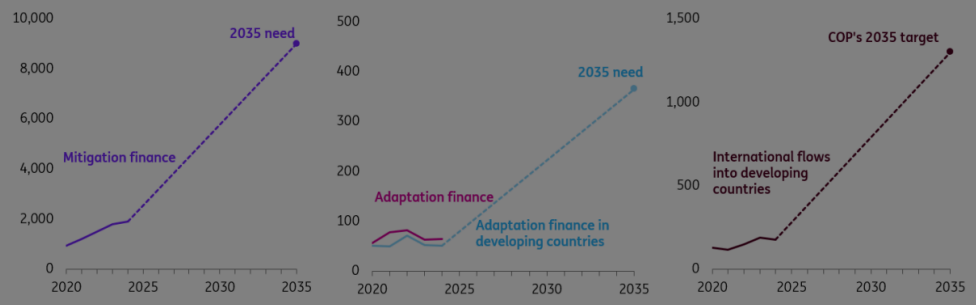
Finance levels in $bn



Source: ING Research, Climate Policy Initiative, UN, UNEP, Natural Resources Defense Council

More climate products and solutions are emerging in the latter two s… …e it … …e a… h… …ll l… f… s… i… …s.

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B… b… p… h… …y affecting supply chains across sectors. In aggregate, physical climate risks could cost companies in the S&P Global 1200 index $1.2tn annually by 2050.

One barrier to corporate investment in climate adaptation is that it is still seen primarily as a way to avoid losses. But adaptation can also create business value. Investments in resilient assets, cooling systems, supplier diversification and climate-resilient materials can improve reliability, competitiveness and long-term growth. Research from the World Resources Institute suggests that every $1 invested in adaptation can generate up to $10 in benefits. That return could be even higher for highly climate-exposed sectors. For

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example, the World Economic Forum estimates returns of $19–$43 per dollar invested in the food and beverage sector.

COP can help turn adaptation priorities into investable projects. Since the Paris Agreement, countries have developed National Adaptation Plans (NAPs), but many remain high-level and lack specific, actionable projects. Recent COP efforts have sought to change this by encouraging governments to translate their NAPs into portfolios of investable adaptation projects.

But identifying projects does not guarantee financing. This is where COP31 could make a difference. Its proposed Climate

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coordination and strong policy support. COP can bring governments and businesses together to provide such a framework, even amid geopolitical tensions and concerns over slowing progress. COP31 may not deliver a landmark global agreement, but practical advances in these four priorities could still have immediate relevance for businesses.

Sustainability | Corporates

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AT1 reform may remain on the back burner in 2027, leaving the instruments' role in bank capital largely unchanged. Solid fundamentals remain supportive, while supply should be manageable – but tight(ish) spreads and low reset levels could weigh on the market

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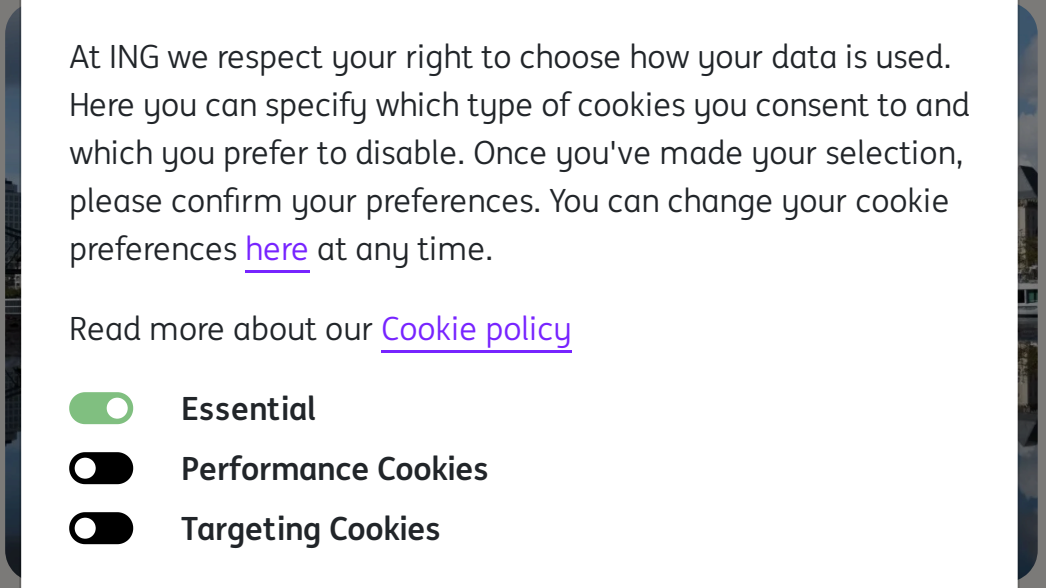

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AT1 reform remains on the back burner

The European Commission published its report on competitiveness in the banking sector in July but did not include much in the way of proposals for AT1 bank capital instruments. The report mainly focused on reducing complexity, reporting requirements and improving competitiveness for Europe's banking sector.

For AT1, this probably means that the instruments are unlikely to be phased out anytime soon. What is somewhat relevant for AT1s is the Commission's intention to reduce complexity for bank capital structures. This includes making the Pillar 2 requirement and

guidance more transparent, while the Commission also proposes to consolidate parts of the buffers into two buffers: one that can be released in periods of stress, and another that would be maintained in all scenarios.

This, in theory, could reduce the risk of coupon skips, as being able to release buffers during periods of stress would not automatically lead to a breach of the combined buffer requirements. The proposals also include a removal of the leverage ratio Pillar 2 capital requirement, which would affect the largest European systemically important banks subject to this requirement. This is only a small number of banks but could (in theory) lead to a marginal decline in A

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line with expectations in 2026. EUR AT1 issuance has just passed €15bn at the time of writing, slightly above our expectation of €15bn. Similarly, EUR Tier 2 has reached €27bn, nearing our expectation of €30bn for 2026.

In 2027, we expect a modest increase in supply, largely dominated by the refinancing of upcoming redemptions/calls. We expect **€20bn in AT1 supply**, compared to €14bn of calls. While this represents a step-up, incremental net supply is only around €3bn higher than in 2026. Tier 2 redemptions will also rise by around

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€3bn next year, supporting our increased supply expectation of **€35bn in Tier 2.**

While gross supply will be higher, net supply should remain easily absorbable. More supply should create opportunities in primary markets, although lower reset levels have left some recently issued bonds more exposed during weaker markets.

AT1 redemptions pick up next year

(€bn)

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highest level since 2002. The story in French markets is growing more sinister by the day. But contagion risk across the eurozone is (so far) relatively contained. Italy and Belgium stand out as other higher-risk countries, given high debt levels and deficits, but it remains a French story for now. Nonetheless, the domestic sovereign exposure and the sovereign-bank nexus have come back into play.

So far, the market is not questioning the broader future of the eurozone. Still, France is of a much larger magnitude than countries

such as Greece or even Italy, which had to be supported during the eurozone crisis.

What can be said is that French banks, as well as the broader European banking sector, are in much better shape than they were during the eurozone crisis. French banks' capital ratios have increased significantly and now stand at around 13-15% on average, compared to c.9-10% during the eurozone crisis. Liquidity levels are healthy, while earnings and exposures, particularly for the larger banks, are well diversified. For instance, BNP Paribas generated around 25% of its revenues in 2025 in France, while French deposits account for 29% of the total. For Société Générale, F

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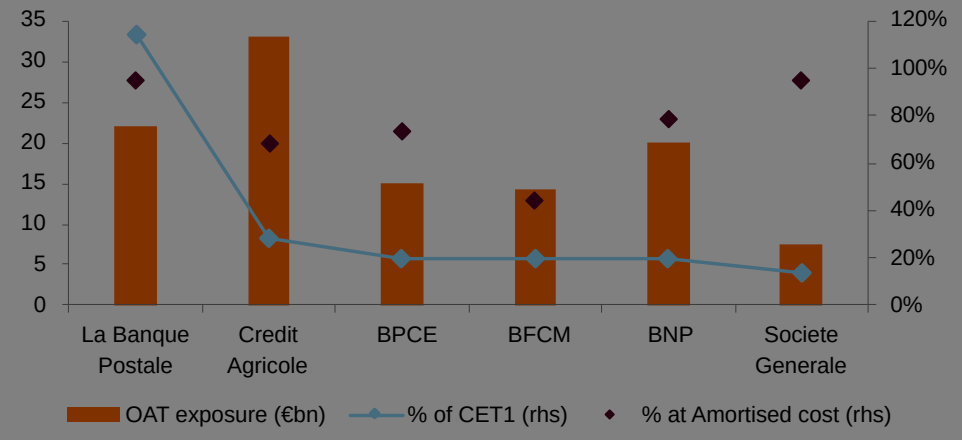
French banks OAT exposure appears manageable



Source: Company reports, EBA, ING

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However, we do not think this is the same sovereign-bank loop as in 2009-2012. European Central Bank funding facilities, the Bank Recovery and Resolution Directive (BRRD) and stronger liquidity coverage ratio (LCR) and net stable funding ratio (NSFR) requirements have reduced banks' dependence on sovereign guarantees. The link remains: ratings, domestic bond holdings and a shared operating environment still transmit sovereign stress into bank funding costs and market access.

The flip side is that liquidity requirements and favourable EU sovereign risk weights have made banks important buyers of government debt. As ECB purchases ended and TLTROs were repaid, sovereign holdings have partly replaced central bank reserves for LCR purposes. Banks rely less on sovereign guarantees, but on the other hand, sovereigns arguably rely more on banks for funding.

This new relationship, alongside expectations that the ECB would contain broader spillovers, perhaps helps explain why bank spreads have not widened as much as OATs. The ECB's refinancing and bond purchase tools remain part of the toolkit, although they have p

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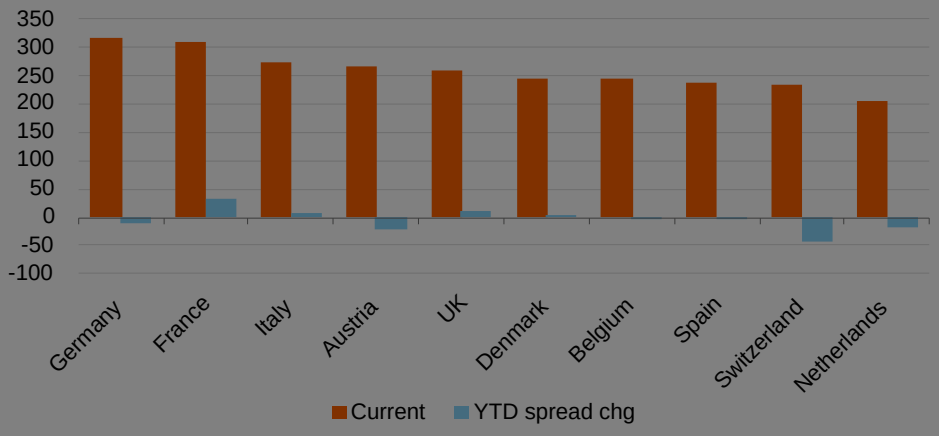
We would avoid treating all French banks similarly. Sensitivity to OATs and the French economy differ quite a bit across issuers. As such, the recent widening has been quite uniform, but the market could become more selective in French AT1s if nervousness continues into 2027. We think the most diversified names, including BNP and ACAFP in short-call bonds, with high reset levels, should hold up better.

French AT1 spreads trade at the widest levels in EUR



Source: IHS Markit, ING

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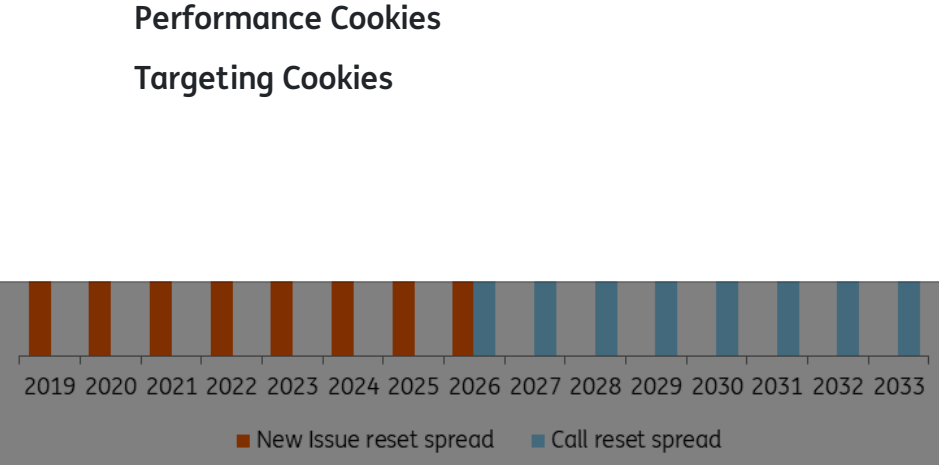
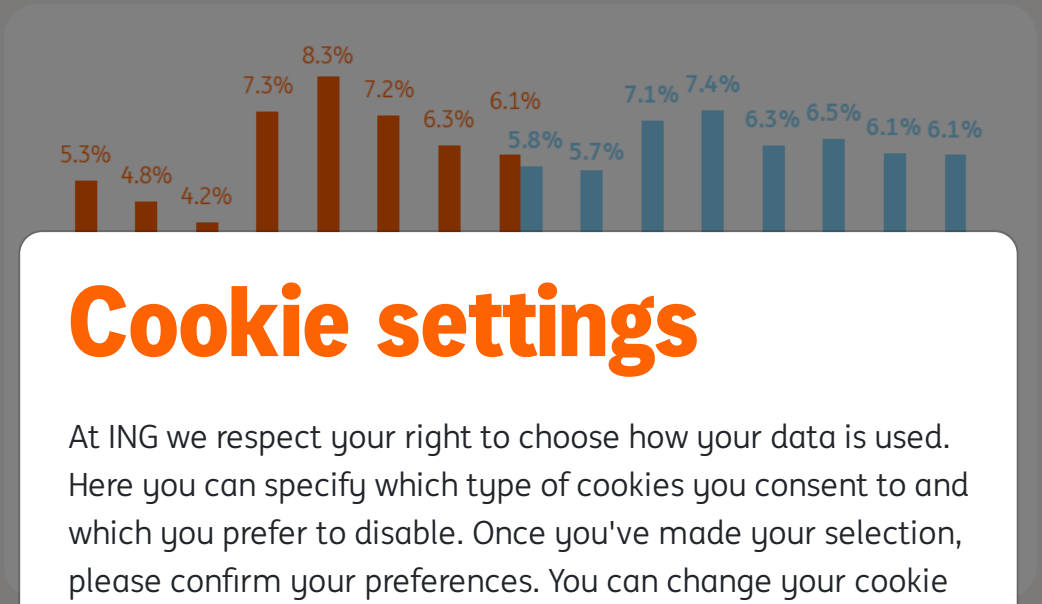


Source: IHS Markit, ING

This is especially the case as the reset levels remain low, while overall coupon levels are in line with recent historical averages. **The economics become less comfortable further out**. Reset spreads decline for bonds callable from 2030 onwards, leaving these bonds

more sensitive to higher rates and deterioration in market access. However, reset levels remain high on average through to 2029 callable bonds.

AT1 coupons have declined, but still remain elevated



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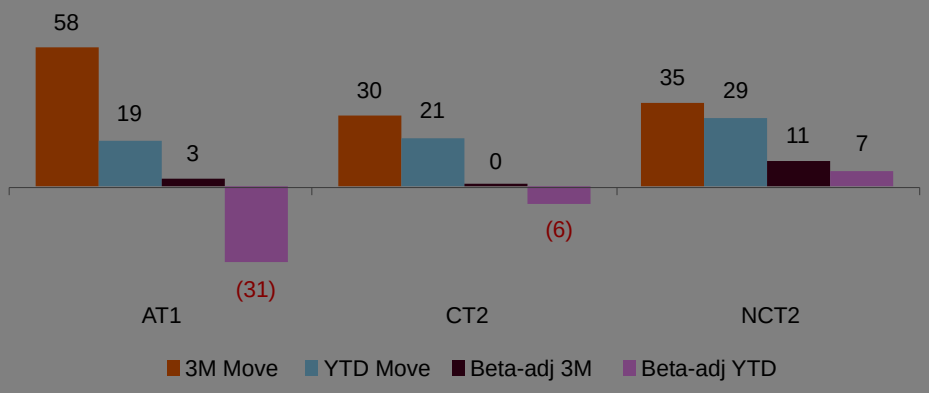
basis, suggesting the recent sell-off has reversed the trend a little bit.

AT1 has widened in recent months as volatility has come back to markets



Source: IHS Markit, ING

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points.

Reset has mattered more than ratings

High reset spread AT1s have generally been more resilient in 2026, with the 700-800bp reset bucket outperforming by quite a bit over the last three months. While this relationship is not fully linear, and many high-reset bonds are issued by higher beta/lower rated issuers, numbers still suggest that reset levels have been an important driver of performance this year. Higher underlying rates reduce the cushion that lower reset AT1 bonds have had, as

extension risk concerns have made more of a comeback in recent months.

Higher reset levels also provide greater coupon protection if a bond is extended during a period of market stress. There are a few near-term low-reset bonds callable with reset levels below +380bp. However, extension risk is still low for these: longer-call AT1s from these issuers trade through the respective reset levels, and these banks have historically assessed calls holistically, rather than purely on an economics or bond-by-bond basis.

Higher-rated bonds have underperformed in 2026. IG-rated bonds h
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So where does that leave the AT1 market in 2027?

2027 is shaping up to be another interesting year for bank capital. Valuations look a bit compressed, but bank fundamentals remain solid, with banks likely to continue calling their instruments at the first call dates. In terms of supply, we expect the small increase to be absorbable but potentially lead to investors becoming a bit more price sensitive. Furthermore, the lack of imminent AT1 reform

should mean the asset class retains an important role in Europe's banking capital stacks for the foreseeable future.

There are risks becoming more visible, not least through sovereign and fiscal concerns, with France the obvious victim at the moment. A softening of fundamentals at the margin and lower reset levels further along the call curve could create more volatility. Spreads have recently seen some widening, yet there is probably greater scope for spreads to stay wider than for further tightening in 2027.

AT1 yields could remain a good driver of demand for

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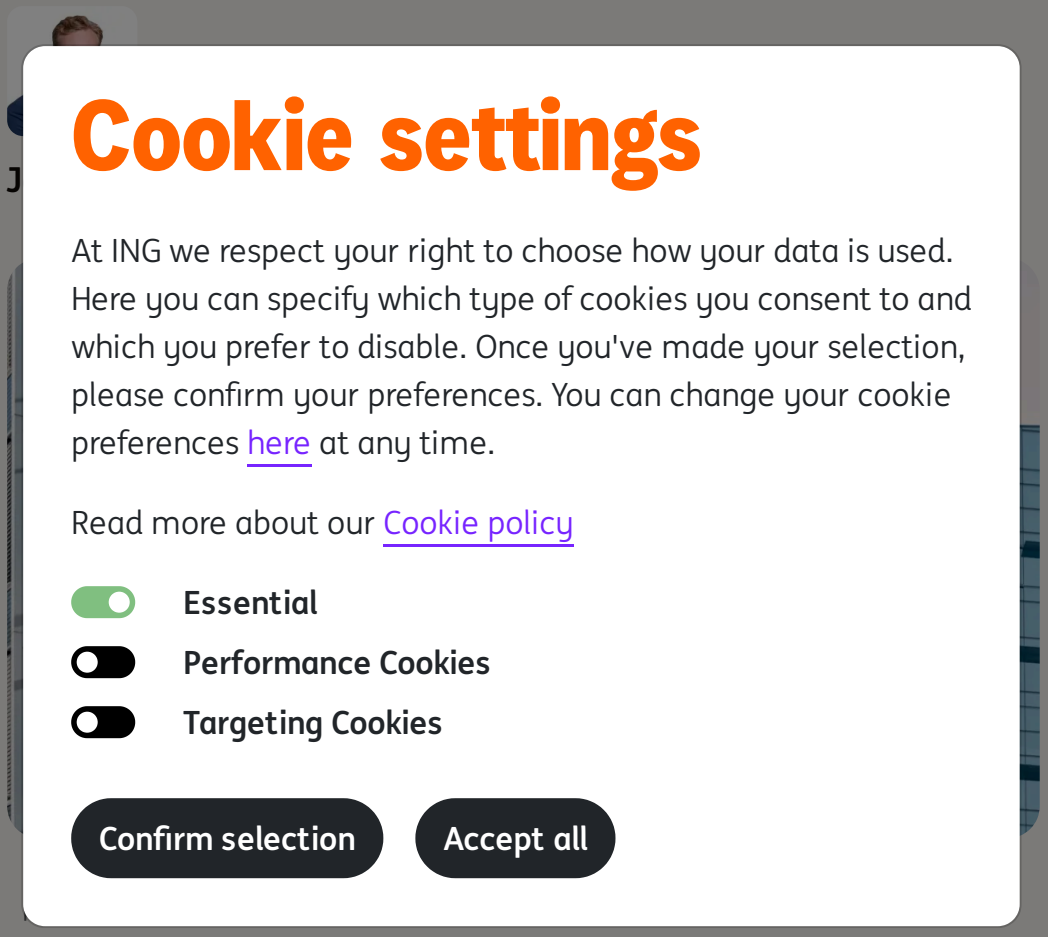
European bank M&A has seen a resurgence in recent years, and 2027 should stay busy. Domestic deals still dominate, while cross-border consolidation is harder but is also picking up. Regulation is becoming more supportive, but politics and execution still matter. Expect more deals, but a transformation of Europe's banking sector is still some way off



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European bank M&A is back

European bank M&A has seen a strong resurgence, with several large-scale deals making headlines. UniCredit's high-stakes takeover of Commerzbank, once deemed very unlikely but now moving closer to completion, could be Europe's most significant cross-border transaction in years. Italy remains one of Europe's bank M&A hotbeds, with multiple banks taking part in the ongoing consolidation wave. Other banks have also been active, and we expect M&A to remain elevated in 2027.

Year-to-date M&A deal value has already surpassed the 2025 total, reaching €53bn including the UniCredit-Commerzbank transaction and based on deals valued at €100m or more. Furthermore, deals pending or intended total €39bn, which includes the potential takeover of Banca Monte dei Paschi by Intesa Sanpaolo, currently valued at around €34bn. All in, this would bring deal value back to levels not seen since the early 2010s.

European bank M&A volumes have seen a resurgence

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Today, the backdrop has shifted – profitability and capital levels are stronger, making the obvious cost-efficiency story less compelling on its own. Instead, banks are using M&A to add scale, deposits and fee-generating diversification, while the need to close the gap with US rivals remains a key driver.

The industrial logic has also strengthened, as fixed costs are rising in areas such as technology, AI, compliance, as well as personnel. Rising investment requirements mean that remaining subscale is becoming more expensive, even for highly profitable banks.

Domestic dominates, but cross-border competes

UniCredit-Commerzbank remains the sector's most closely watched deal and could become the first major cross-border acquisition since the financial crisis. UniCredit has slowly been building its stake rather than a clean takeover and is now deemed to hold effective control, despite currently owning around 50% of the shares. Furthermore, it is also not entirely a leap into an unfamiliar market, as UniCredit already has a significant banking business in Germany through its subsidiary, HVB.

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broad-based cross-border consolidation wave. Many involve banks already familiar with the target market or assets that complement an existing local business.

Selected transaction details

Transaction	Type	Status	Deal value + Stake	Strategic rationale	Main implication
UniCredit / Commerzbank	Staged cross-border takeover	Pending control (ECB approval received)	c.49% owned; c.50% voting rights expected	Scale in Germany and HVB overlap	Landmark cross-border test; politics still shape execution
Intesa / Monte dei Paschi (MPS)	Domestic cash-and-shares bid	Announced / likely	€30.6bn initially; later improved to c€34bn	Scale, deposits and market leadership	Likely branch disposals and competition remedies
MPS / Mediobanca	Domestic takeover and merger	Completed; integration under way	€16bn	CIB, wealth and Generali stake	Transforms MPS business mix and reduces governance complexity
MPS / Banco BPM	Merger of equals	**Unlikely**	€25.3bn	Italy mid-tier consolidation	Italy mid-tier consolidation
MPS / Banca Generali	Merger of equals	**Unlikely**	Part of c.€34bn twin proposals	Adds wealth mgmt scale and fee income	Growth in MPS wealth and mid-tier banking
BPER / Popolare di Sondrio	Domestic merger	Completed Apr-26	€4.3bn initial offer	Northern Italy scale and deposits	Clear domestic synergy case
BPCE / Novo Banco	Full cross-border acquisition	Completed Apr-26	€6.7bn	Portugal as second domestic market	Large but operationally separate expansion
BPCE / Sabadell	Strategic minority stake	Completed; cooperation talks	7% stake for c.€1.2bn; cap 9.9%	Spanish exposure, board role and partnerships	Optionality without control; strengthens Sabadell defences
Santander / Webster	Cross-border takeover	Completed	$12.5bn	Geographic scale, creating a top-10 US bank	Bolt-on acquisition in commercial markets

Source: Company reports, ING

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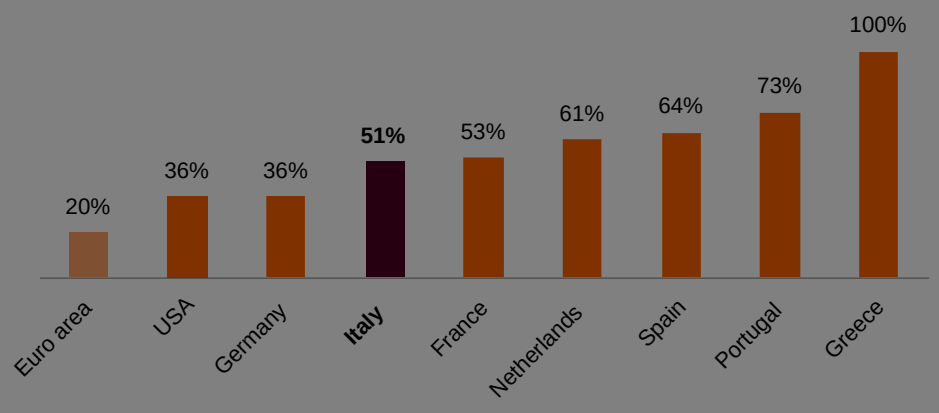
Why is Italy so active in particular? Well, Italy remains quite fragmented (see below) and still offers a large domestic synergy pool, even after the wave of M&A that has already taken place. Furthermore, the country has meaningful industrial scale and offers further revenue diversification opportunities for banks and insurers. Although the obvious combinations are becoming less evident in Italy, we expect this to continue to drive M&A activity in 2027.

Top 5 banks' lending market share by country (2025)



Source: AFME, ING

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Deutsche's return to life insurance after more than a decade.

Consolidation can support bank performance

But does consolidation actually deliver better outcomes? The evidence is not entirely clear-cut, but overall points in the right direction. While increasing scale is not always the best use of capital, in general, more consolidated markets tend to have more stable and, in some cases, higher profitability. The ECB is in favour of further consolidation where appropriate, as it sees the benefits of

diversification and efficiency. On the other hand, capital can be reduced following a merger. This could be a downside, as better capitalised banks tend to enjoy lower funding costs and thus have more room to lend to the real economy.

The outcome therefore depends on the trade-off between longer-term synergies and the upfront capital, execution and integration costs.

ECB data show an association between more concentrated banking markets and profitability. As the chart below shows, countries with a high level of concentration (defined by a higher Herfindahl-

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Herfindahl-Hirschman Index (Sector concentration)

Source: ECB, ING

Similarly, a higher level of market concentration in European countries is associated with a lower cost of risk. The correlation is modest, with some clear outliers, but the numbers show that greater concentration can lead to lower asset quality costs, although the relationship should perhaps not be interpreted as causal. Still, taken together, this suggests that consolidation can improve banking markets.

Cost of risk vs market concentration for European countries (2025)

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clearer than it was even a decade ago. But as the Draghi report noted, the incomplete Banking Union means Europe's banks remain less profitable than their US counterparts.

There is a shift underway, though. The EU Commission plans to table a broad **Banking Package** in the first quarter of 2027, with measures covering cross-border capital and liquidity management, deposit insurance, prudential rules and other items. For M&A, the most important proposals include those to give banking groups more flexibility to allocate capital and liquidity more efficiently within cross-border groups, while also applying more consistent

treatment to intra-group exposures. These remain proposals rather than agreed implementations, meaning their final scope and timetable remain uncertain.

The AFME estimates that regulatory ring-fencing rules mean that some €225bn of capital and €250bn of liquidity is trapped within subsidiaries, which banks cannot freely move between parent and subsidiaries. Freeing this up could also support more cross-border transactions.

Regulatory ring-fencing traps subsidiaries' capital and liquidity

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cross-border M&A. CMDI reform has been passed this year, which could make it easier to deal with failing banks, potentially making consolidation easier as well, although the direct impact on M&A is unclear.

The Danish compromise, which is now embedded into CRR3, allows banks to risk-weight certain insurance subsidiaries rather than deduct them from regulatory capital. This was clarified by the EBA in January 2026, and some banks such as UniCredit have received authorisation to use the Danish Compromise methodology for its insurance subsidiaries. This has improved the economics of

bancassurance and could support further bank-insurance transactions.

On the other hand, national regulatory and political intervention has also put the brakes on M&A in some cases, raising execution costs and uncertainty. BBVA's proposed acquisition of Sabadell in 2024 illustrates the problem. It took 539 days from the announcement in May 2024 to the offer failing in October 2025.

For us, the message seems clear that European regulators are seeking to improve bank competitiveness, and they see consolidation as an important part of this. Looking ahead, re

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so we could see more bolt-ons. In the UK, challenger banks and neobanks are gaining ground while deposit competition remains intense, potentially leading to more activity. The Benelux has potential catalysts following a series of government ownership reductions and increasing inorganic ambitions.

Cross-border activity could also remain elevated, but we think the real litmus test remains the UniCredit-Commerzbank deal, including what happens after completion in terms of execution and integration, a process that is likely to take a few years. The

regulatory environment should also become increasingly more supportive for cross-border M&A from 2027 onwards.

Overall, 2027 could be another interesting year.

M&A is here to stay

European bank M&A has picked up in recent years, and we expect more activity again in 2027, although we do not see a big bang. For investors, positioning is inherently speculative. For bondholders, the main way to gain is by owning the target entity's bonds. However, this is not always the case, and bigger doesn't always mean better, as credit ratings don't necessarily improve either following an

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